ECONOMIC SURVEYS

I. 2. B. 5.

JAPAN

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS DECEMBER 1965

BASIC STATISTICS OF JAPAN

THE LAND

Area (1,000 sq. km.)	369.7
Agricultural area (1,000 sq. km.)	60.7
Forest (1,000 sq. km.)	254.0
Population of major cities (1964):	
— Tokyo (*Ku* area)	8,833,000
— Osaka	3,221,000
— Nagoya	1,905,000
— Yokohama	1,656,000

THE PEOPLE

Population (1964)	96,910,000
No. of inahitants per sq. km. (1964)	262
Net natural increase in population (annual average 1956-1963)	927,000
Net rate of increase per 1,000 inhabitants (average 1956-1963)	9,3
Net emigration (average 1956-1963)	17,000
Employment (1964)	46,730,000
— Agriculture	12,510,000
— Manufacturing, mining and construction	14,620,000
— Other	19,600,000

PRODUCTION

Gross national product in 1964 (billion yen)	24,993.3
G.N.P. per head 1964 (U.S. dollar)	716
Gross fixed investment, 1964:	
— Percentage of G.N.P.	34
— Per head (U.S. dollar)	243
Origin of net domestic income at factor cost, 1964:	
— Agriculture	13%
— Manufacturing, mining and construction	39%
— Other	48%

THE GOVERNMENT

Current expenditures on goods and services, 1964 (percentage of G.N.P.)	10
Capital expenditures, 1964 (percentage of G.N.P.)	11
Current government revenues, 1964 (percentage of G.N.P.)	22
Composition of the House of Representatives (467 members on 20th July, 1965):	
— Liberal Democratic Party	61%
— Democratic Socialist Party	5%
— Socialist Party	31%
— Communist Party	1%

LIVING STANDARDS

Calories per head per day, 1963	2,083
Electricity consumption, 1964 (thousand kW per head)	1,951
No. of passengers' cars per 1,000 inhabitants, 1964	17
No. of subscribed telephones per 1,000 inhabitants, 1964	65
No. of T.V. subscribers per 1,000 inhabitants, 1964	176

FOREIGN TRADE

Exports	
Exports of goods and services as a percentage of G.N.P., 1964	12
Main exports in 1964 (percentage of total exports):	
— Machinery	29
— Textiles	21
— Metals and Metal Products	18
— Chemicals	6
— Food	5

Imports	
Imports of goods and services as a percentage of G.N.P., 1964	12
Main imports in 1964 (percentage of total imports):	
— Mineral fuels	18
— Food	17
— Metal ores	12
— Textile materials	11
— Other raw materials	16
— Machinery	10

THE CURRENCY

Monetary unit: yen.

Currency units per U.S. dollar..... 360

ECONOMIC SURVEYS BY THE OECD

JAPAN

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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by the Economic and Development Review Committee
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INTRODUCTION

Up to the spring of 1965, developments in the Japanese economy seemed to be following the cyclical pattern well known from previous experience[1]. The strong expansion of demand and output in 1963 induced a substantial deterioration of the balance of payments. The authorities reacted by restrictive measures, mainly in the credit and monetary fields, which were progressively strengthened from December 1963 to March 1964. The rise in imports was halted as from the beginning of 1964 and this, combined with an extremely strong recovery of exports, had by the middle of the year brought foreign trade into equilibrium. The rise in production continued, though at a decelerating rate, until the autumn of 1964, but stopped afterwards. The authorities started then relaxing their policies and the expansionary emphasis on policies was gradually strengthened during the first half of 1965.

But, contrary to previous experience, the economy has so far failed to respond to the reversal of policies. This phenomenon is the more striking as, from June 1965 onwards, substantial expansionary measures were taken in the budgetary field, a novel feature in Japanese economic policies. Up to the autumn of 1965, total output and demand have remained stagnant. The decline in stock accumulation has been followed by falling private productive investment, and the main factor sustaining the level of activity is the rising external current surplus. A clear recovery in the months immediately ahead seems unlikely without expansionary measures.

Recent developments in Japan raise important problems both from the analytical and from the policy point of view. The present recession seems more protracted and more difficult to overcome than previous ones. Is this the effect of a chance combination of circumstances, or more deep-seated factors? Why have monetary policies, so successful in the past in controlling business fluctuations and the balance of payments, failed this time to bring about a recovery? The present Survey seeks to discuss these questions in the light of recent developments and prospects. Thus, after an analysis of the movement of domestic demand, output and of the

1. See the 1964 O.E.C.D. Survey, in particular Section IV "Business cycle policies and instruments", pp. 29-39.

balance of payments, Part III below describes the monetary and budgetary measures adopted by the authorities in the successive phases of the recent cycle. Part IV attempts to analyse the specific features of the present recession, the current prospects and the related policy problems.

RECENT DEVELOPMENTS AND CURRENT PROSPECTS

Taken as a whole, 1964 appears as a year of strong expansion. Under the impulse of a large increase in exports (goods and non-factor services rose by 22 per cent in real terms in relation to 1963), substantial inventory accumulation (representing 4.8 per cent of GNP) and rising fixed asset formation, G.N.P. at market prices rose by 13.9 per cent, and imports (goods and non factor services) by 14.3 per cent. By contrast, provisional estimates for the first half of 1965 point to a virtual stagnation of GNP and a very limited rise in imports. A strong rise in exports (+ 29 per cent at an annual rate, in relation to the second half of 1964) and an expansion of public expenditures were just sufficient to offset declining inventory accumulation. Private consumption is stagnant and private fixed investment is declining.

Annual averages, however, mask the underlying movements of the economy. In fact, the expansion of output had already come to a standstill by the end of the summer 1964; and prior to that, the weakness of the main components of domestic demand had started to appear. An interpretation of the chain of events underlying the quarterly movements summarised in Table 2 is attempted in the following paragraphs.

I. *The main movements in demand and output*

Prima facie, the 1963 boom was interrupted by the restrictive measures taken between December 1963 and March 1964, described in page 24 below. But closer analysis suggests that by the time these measures were being taken, the boom was already weakening — a not unfrequent occurrence in a number of other countries. Private investment decisions were showing less buoyancy from the autumn 1963. New domestic private orders for machinery reached their maximum in November 1963; new (non-residential) construction starts fell rapidly from February 1964 onwards. The reasons behind this initial hesitation are difficult to trace. Gradually tighter financing conditions, and anticipation that policies would become restrictive in the face of the growing external deficit, were probably important factors. But there seems, also, to have been a general opinion that existing production capacity was sufficient to cope with actual and prospective demand; the response of output to rising orders in the

TABLE 1. NATIONAL ACCOUNTS AT 1960 PRICES

Billion yen.

	1962	1963	1964	INCREASE RATES (%)		PERCENTAGE COMPOSITION		
				63/62	64/63	1962	1963	1964
Private Consumption	8,875.9	9,556.3	10,417.0	7.7	9.0	50.5	50.2	48.0
Total Domestic Private Capital Formation	4,963.6	5,536.6	6,550.3	11.5	18.3	28.2	29.1	30.2
Total Domestic Private Fixed Capital Formation	4,253.1	4,429.9	5,335.4	4.2	20.4	24.2	23.3	24.6
Producers' Durable Equipments	3,861.4	3,919.5	4,740.3	1.5	20.9	22.0	20.6	21.9
Private Housing	391.7	510.4	595.1	30.3	16.6	2.2	2.7	2.7
Change in Stocks	710.5	1,106.7	1,214.9	—	—	4.0	5.8	5.6
Government Expenditures	3,648.1	4,100.8	4,708.7	12.4	14.8	20.7	21.5	21.7
Current Expenditures	1,561.0	1,739.4	1,924.7	11.4	10.7	8.9	9.1	8.9
Capital Formation	2,087.1	2,361.4	2,784.0	13.1	17.9	11.8	12.4	12.8
Net Current Surplus from Abroad	95.4	(—) 140.9	17.2	—	—	0.6	(—)0.8	0.1
Exports and Factor Incomes from Abroad	2,302.6	2,466.8	2,998.8	7.1	21.6	13.1	12.9	13.8
Imports and Factor Incomes to Abroad	2,207.2	2,607.7	2,981.6	18.1	14.3	12.5	13.7	13.7
Gross National Product	17,583.0	19,052.8	21,693.2	8.4	13.9	100.0	100.0	100.0

Source: National Economic Accounts Quarterly, July 1965, Economic Planning Agency.

TABLE 2. MAIN COMPONENTS OF GROSS NATIONAL EXPENDITURE (seasonaly adjusted, annual rates, current prices)

Billion yen.

	1963				1964				1965
	I	II	III	IV	I	II	III	IV	I
Private consumption	10,588,4	11,383.2	11,875.8	11,991.4	12,172.7	12,861.2	13,418.8	13,535.1	13,744.4
Gross Domestic Capital Formation	4,812.8	5,521.9	6,265.9	6,316.1	6,905.8	6,471.7	7,352.5	6,802.6	6,344.2
Producers' Durable Equipments	3,655.6	3,896.4	3,952.2	4,292.3	4,412.5	4,648.6	4,976.8	5,053.5	4,716.5
Private Housing	575.4	704.9	760.6	701.4	801.2	886.4	897.9	868.0	945.7
Change in Stocks	581.8	920.6	1,553.1	1,322.4	1,692.1	936.7	1,477.8	881.1	682.0
Government Expenditures	4,370.0	4,503.9	4,297.0	4,785.5	5,005.6	5,319.2	5,088.4	5,456.7	5,737.1
Exports and Factor Incomes from Abroad	2,133.6	2,280.2	2,435.0	2,517.0	2,523.8	2,784.8	2,958.4	3,241.5	3,390.1
Imports and Factor Incomes to Abroad	2,296.9	2,404.7	2,782.8	3,009.8	3,038.4	2,906.1	3,012.4	3,186.5	3,112.9
Gross National Product	19,607.9	21,284.5	22,090.9	22,600.2	23,569.5	24,530.8	25,805.8	25,849.4	26,102.9

Source: Economic Planning Agency, National Economic Accounts Quarterly.

first half 1963 had been extremely strong, and by the middle of the year the ratio of producer's inventories of finished goods to deliveries had started rising again (after only six months of decline, as compared with twenty-four months in the previous boom). This probably had a dampening effect on investment decisions from the autumn of 1963 onwards.

A second element of weakness was the interruption of the growth of demand for consumers' durable goods, manifest in the output figures of early 1964, which obviously reflected an earlier decline of orders; there was probably a transient saturation of the market (this seems to have been clearly the case for TV sets). The weakening of the boom was also revealed by the levelling out of imports after January 1964 — i.e.before the first restrictive measures taken in December 1963 and January 1964 had had time to produce significant effects. And whether a cause or a symbol, share prices on the Tokyo Stock Exchange had been steadily and substantially falling since the spring of 1963.

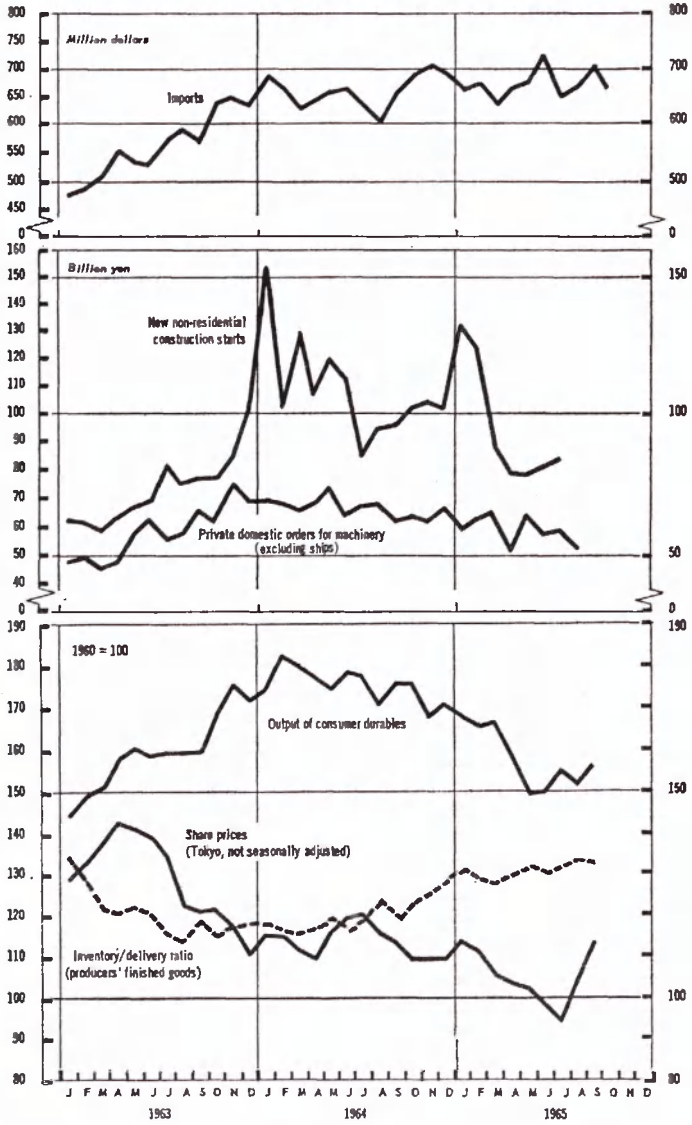
The strong measures of credit restriction taken in January and March 1964 brought about a complete halt in the expansion of imports and were followed by a substantial decline in the accumulation of stocks in the second quarter; the decline in relation to the average of the three previous quarters was of the order of 2 per cent of GNP. The deflationary impact of lower stock building on domestic output was probably only half as big, the rest being absorbed by the stabilisation and decline of imports. Indeed, it was inventory investment in raw materials that declined from the first quarter onwards, and subsequently became negative; inventories of finished goods went on rising until the end of the year. Another deflationary influence was the very small rise in nominal terms of government current and capital expenditure in the first three quarters of 1964, a development unrelated to business cycle policy.

The tight money measures caused financial difficulties for many firms. The number of business failures among small and medium sized enterprise increased steeply during 1964, and has since been rising further. It was 2.4 times larger in 1964 than in 1963 and 1.8 times larger in the first half of 1965 than in the previous year. The construction, metals, machinery and chemicals sectors were particularly hit. A primary reason for the business failures lay in stagnant sales, followed by difficulties in the collection of debts and the problem of financing accommodation bills at high interest rates. Rising production costs and over-investment in equipment were also important. The business failures of certain larger companies are attributable mainly to misjudgement in the field of management policies and investment decisions.

It was in this climate, and with inventory/delivery ratios starting to increase substantially, that firms set out to limit the expansion of their output from the second quarter of 1964 onwards. This was already evident from the slowing down in employment growth, and the decline in hours

Diagram 1. **BUSINESS INDICATORS**

SEASONALLY ADJUSTED



Sources: Economic Planning Agency, Ministry of International Trade and Industry, Ministry of Construction, Ministry of Finance, Tokyo Stock Exchange.

worked in the second quarter of the year. It was not easy for all firms effectively and rapidly to diminish their production; in some cases, this may have been due to technical rigidities; in other cases to a desire to operate at or above the "break-even" point. Thus industrial output continued to rise up to September-October 1964, though distinctly more slowly. (The annual rate of increase fell to 12 per cent between the first and third quarters, as against 22 per cent between the first quarters of 1963 and 1964.) The growth of output of finished investment goods fell to an annual rate of 17 per cent (as against 30 per cent in the preceding twelve months); for materials there was a decline to 11.5 per cent (as against 22.5 per cent). Production of consumers' non-durable goods rose only fractionally, whilst output of durables actually fell. After a peak in October, the overall rise in industrial production came to a halt.

The slower growth in employment, and reductions in hours worked, began to affect wage incomes after the second quarter of the year. The rise in monthly earnings slowed down somewhat; and purchasing power was weakened by the rise in consumers' prices (more than 5 per cent overall between the first and the last quarter of the year, and almost 6.5 per cent for food). Monthly indices point to a decline in real consumption expenditures of urban households after the second quarter; national accounts data, however, show that the rise in consumption continued into the third quarter. Part of the explanation for this discrepancy is certainly to be found in the rising consumption of the rural population, due both to the rise in agricultural output (by about 4.3 per cent over 1963) and to the improved terms of trade for agriculture. By the fourth quarter, however, private consumption in real terms had begun to decline.

The third and fourth quarters of the year showed an important accumulation of unwanted inventories, at the distribution as well as the producers' stage. Private productive investment continued to rise up to the autumn, reflecting previous investment decisions and time-lags in deliveries and construction work. Thereafter its volume ceased to rise; residential construction (only 3 to 3.5 per cent of gross national expenditure) had been rising rapidly in the three first quarters of the year, but also declined in the fourth. By the last quarter of the year the only expanding categories of demand were government expenditures and exports.

The equilibrium of external trade had been restored as early as the second quarter 1964; after the middle of the year, with rapidly advancing exports and stable imports, the trade balance moved into surplus. But despite this progress, and the stagnation of production from September-October, the authorities maintained their restrictive policies until the end of the year (except for a partial cut of the obligatory prior deposits on imports in September). Relaxation of the tight money policy began in December (see pages 24-25 below).

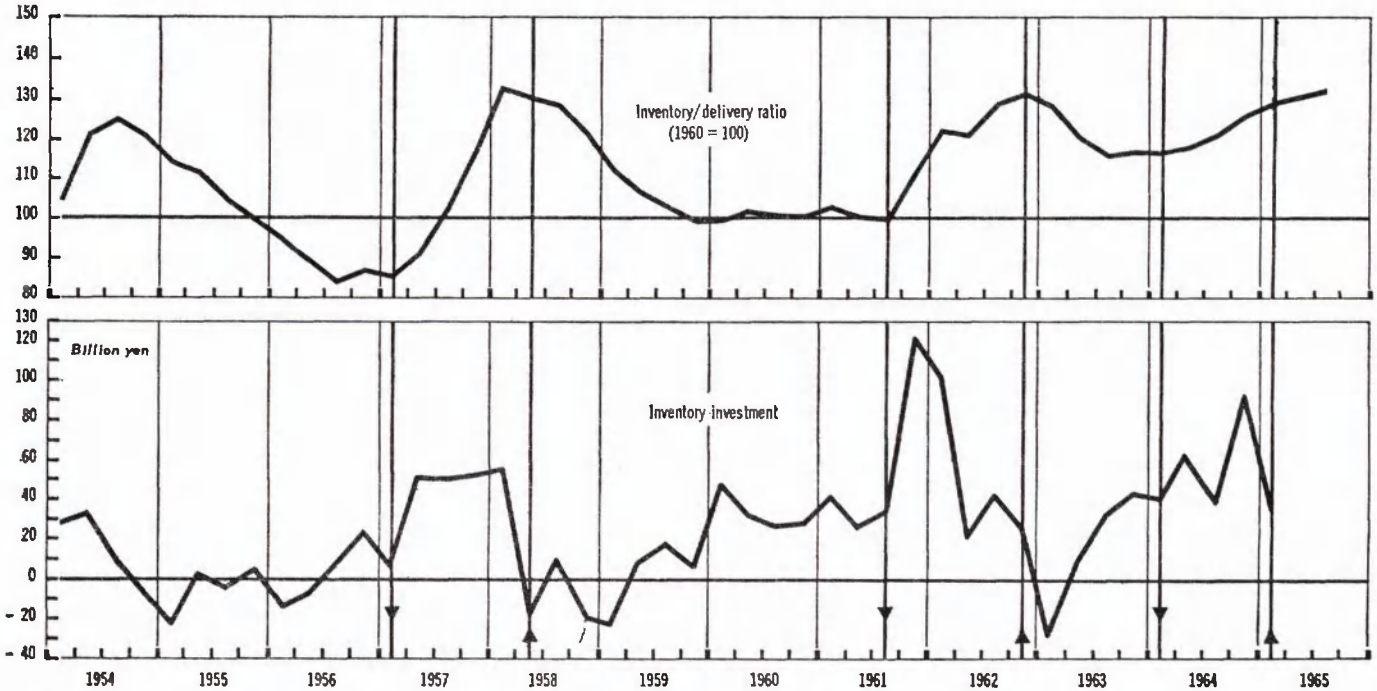
This reversal of policies, gradually accentuated during the first half of 1965, produced no very substantial results. Private productive investment (seasonally adjusted, current prices) declined by 6.7 per cent between the fourth quarter 1964 and the first quarter 1965. Non-residential construction starts have again been falling abruptly since the beginning of 1965. Domestic orders for machinery have been declining since the winter 1963-64 and by the second quarter of 1965 they were 10 per cent below the fourth quarter 1964, and 17 per cent below their level a year previously. Stock accumulation in the first quarter of 1965 (seasonally adjusted, current prices) continued, though at a lower rate (2.6 per cent of GNP, instead of 4.8 per cent for 1964 as a whole). The efforts of firms to absorb inventories in the face of stagnant sales have proved unsuccessful. Inventory/delivery ratios remain substantially higher than a year ago; monthly indices show a further rise in inventories of finished goods in producers' hands from March to August 1965, and some increase of inventories at the distribution stage between March and June 1965 (though in the latter case the situation has improved in relation to December 1964).

Over the first eight months of 1965, industrial output stagnated, with minor fluctuations, at a level slightly below the peak of October 1964. The most severe declines took place in consumers' durables (10 per cent from December to July) and finished investment goods (12 per cent). Even output of consumers' non-durable goods declined slightly. In a considerable number of industries special steps to curtail production have been taken. Under the Anti-Monopoly Act, "depression cartels" have been authorized in special steel, automobile tyres, cameras, sugar refining, etc. Control of production has also been initiated in crude steel under the guidance of the Authorities. Production cuts are in force, on private initiative, in certain types of iron and steel, synthetic fibres, domestic electric appliances, metal working machinery and pulp and paper.

Private consumption (seasonally adjusted) rose by 1.5 per cent in the first quarter 1965 in current prices; it probably declined in real terms, since consumer prices (all cities index) rose by 2 per cent in the same period. The index of real consumption of urban households was stagnant during the first six months of the year. Apart from a certain saturation of the market in some lines, more cautious spending attitudes of households in the face of uncertain future conditions may have contributed to the weakness of consumption; indeed, some decline in the consumption/income ratio has taken place. But no doubt the impact of the business slack on employment and wages is the main cause of the stagnation in consumption. Employment in manufacturing, which showed only a very limited increase in the second half 1964, declined by 0.5 per cent in the first half 1965; to this should be added the effect of the decline in hours worked (about 1.5 per cent during the same period). The number of applicants for jobs has exceeded the number of vacancies since the beginning of the autumn 1964.

Diagram 2. **INVENTORY INVESTMENT AND INVENTORY/DELIVERY RATIO (PRODUCERS' FINISHED GOODS)**

SEASONALLY ADJUSTED



Note : ▼ denote the start of tight money policy (first increase in the official discount rate in each cycle), and

▲ denote the start of relaxation of tight money policy (first reduction of the official discount rate in each cycle).

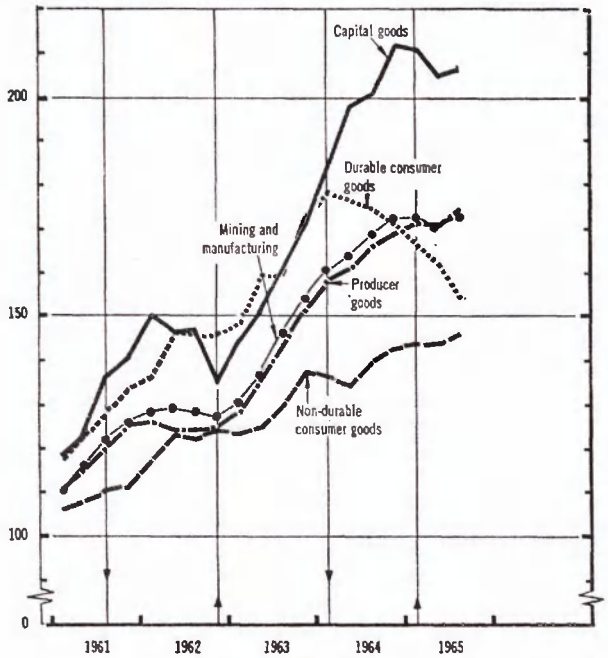
Sources: Ministry of International Trade and Industry and Economic Planning Agency.

Diagram 3

a) **INDUSTRIAL PRODUCTION BY CATEGORIES**

SEASONALLY ADJUSTED

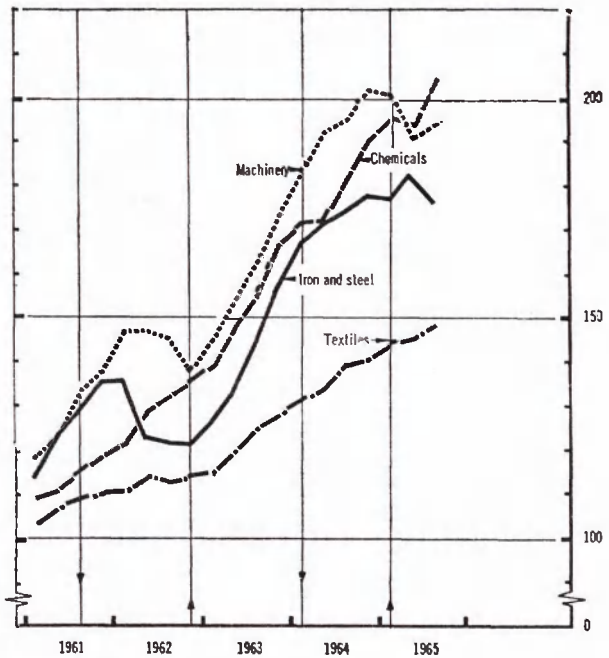
1960 = 100



b) **PRODUCTION OF SELECTED INDUSTRIES**

SEASONALLY ADJUSTED

1960 = 100



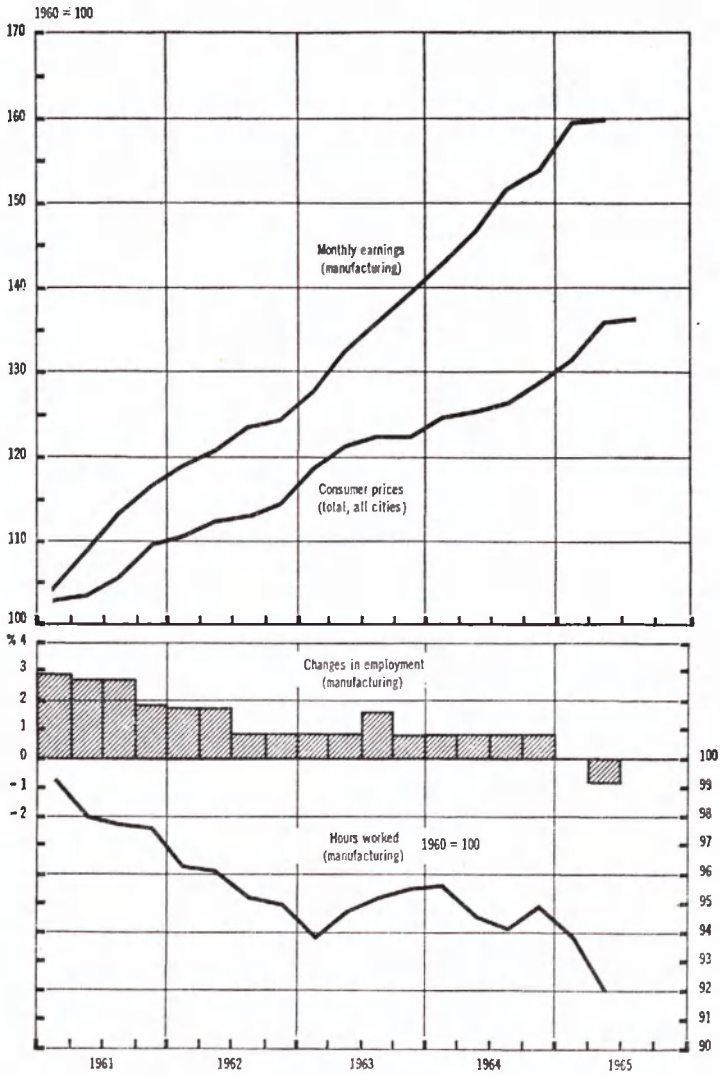
Note : ↓ denote the start of tight money policy (first increase in the official discount rate in each cycle), and
↑ denote the start of relaxation of tight money policy (first reduction of the official discount rate in each cycle).

Source: Ministry of International Trade and Industry.

Source: Ministry of International Trade and Industry.

Diagrams 4. **CHANGES IN EMPLOYMENT, HOURS WORKED, MONTHLY EARNINGS AND CONSUMER PRICES**

SEASONALLY ADJUSTED



Sources: Ministry of Labor and Statistics Bureau (Prime Minister's Office).

The rise in monthly earnings has also clearly slowed down (+ 4 per cent between the average September-November 1964 and April-June 1965, as against + 6.5 per cent for the same period a year earlier). Consumer prices rose by 5.6 per cent between the fourth quarter of 1964 and the second quarter of 1965, food price again being the main influence but various public charges and government controlled prices also going up.

Apart from exports, the only demand categories to expand in the first quarter of 1965 were private residential construction, which does not seem up to now to have been affected by the recession, and Government expenditure (see pages 30-32).

II. *External trade and the balance of payments*

The rapid rise of imports stopped immediately after the enforcement of the tight money measures. Although their movement during 1964 was erratic, the average level for the year was not higher than the peak reached immediately before the introduction of the restrictive policies. In 1965, no clear trend has been discernible, but since April on average they have been running about 5 per cent higher than in the corresponding period of 1964. The fact that, unlike previous periods, imports did not fall during the tight money phase is probably explained by the low level of raw material imports when the restrictive measures started and the continued rise of production for some months thereafter, together with the effects of further trade liberalisation.

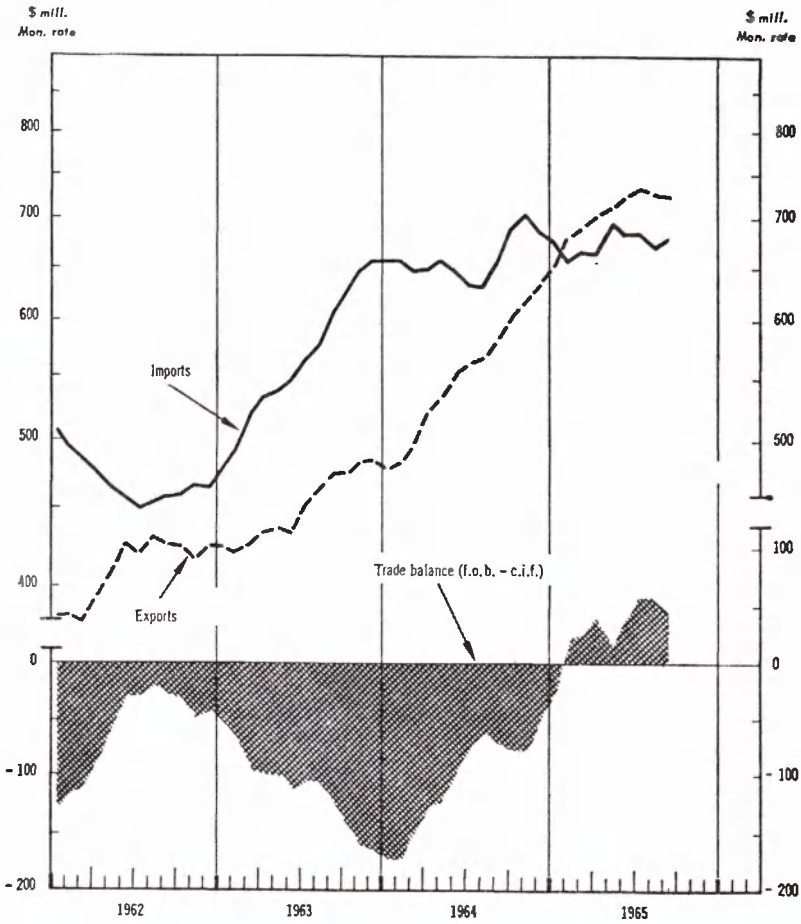
Exports gathered momentum and progressed remarkably throughout 1964 and the first nine months of 1965. The increase was 22 per cent between 1963 and 1964, exceeding by far the average increase (14 per cent) of the past five years. (Increases of 23 and 24 per cent had, however, been recorded in 1955 and 1956.) The increase between the first halves of 1964 and 1965 was as much as 36 per cent on a customs basis.

The expansion of world imports undoubtedly helped the fast advance in Japan's exports. But the growth for Japan was twice as high as that of world imports in 1964, and more than three times as high in 1965 to date. The longer-term trend must be attributed to strong advances of productivity in industry, the enlargement of capacity, and rapid shifts in the composition of industrial output in accordance with the trend in world demand (e.g. towards heavy chemicals). Exports must also have been stimulated recently by the weaker trend of domestic demand; in contrast to former tight money periods, Japan's export prices did not, this time, decline appreciably, but this was partly because of buoyant world demand.

Diagram 5. **EXPORTS - IMPORTS**

3-month moving averages

SEASONALLY ADJUSTED



Source: Ministry of International Trade and Industry.

TABLE 3. **IMPORTS BY ITEMS (customs basis)**

$ million.

	1962	1963	1964	1964 FIRST HALF	1965 FIRST HALF	INCREASE RATES (%)		
						1963/1962	1964/1963	1965/1964 (FIRST HALF)
Food and Beverages	740	1,088	1,386	765	780	47.0	42.1	2.0
Textile materials	741	884	874	486	465	19.3	—1.1	—4.3
Metal Ores and Scraps	713	767	971	476	509	7.6	26.6	6.7
Other raw materials	939	1,137	1,253	622	650	21.1	10.2	4.6
Mineral fuels	1,041	1,211	1,406	687	803	16.3	16.1	17.0
Chemicals	300	369	458	230	203	23.0	24.0	—11.7
Machinery	767	800	825	421	375	4.3	3.1	—10.8
Miscellaneous	394	481	763	368	360	22.1	58.6	—2.2
Total	5,637	6,736	7,938	4,055	4,145	19.5	17.8	2.2

Source: Ministry of Finance.

TABLE 4. **EXPORTS BY ITEMS (customs basis)**

$ million.

	1962	1963	1964	1964 FIRST HALF	1965 FIRST HALF	INCREASE RATES (%)		
						1963/1962	1964/1963	1965/1964 (FIRST HALF)
Food and Beverages	340	289	323	141	140	—15.0	11.8	—0.5
Textiles	1,257	1,247	1,426	622	728	—0.8	14.4	17.2
Chemicals	261	315	384	177	256	20.7	21.9	44.2
Non-metallic mineral products	188	212	242	114	129	12.8	14.2	13.4
Metals and metal products	742	944	1,203	497	814	27.2	27.4	63.6
of which:								
Iron and Steel	531	702	910	374	625	32.2	29.6	67.0
Machinery	1,233	1,474	1,959	824	1,234	19.5	32.9	49.8
of which:								
Ships	226	328	476	184	350	45.1	45.1	90.0
Motor vehicles	113	135	181	80	117	19.5	34.1	45.4
Miscellaneous	896	971	1,138	508	622	8.4	17.2	22.4
Total	4,916	5,452	6,673	2,883	3,923	10.9	22.4	36.1

Source: Ministry of Finance.

Exports of metal products and machinery have shown a substantial advance. Iron and steel (for which Japan has become the second largest exporter in the world) ships and passenger cars have progressed remarkably.

There have been very large increases in Japan's exports to communist countries. The growth of exports to Oceania, Africa and North America have also been high, but exports to Europe have made relatively less marked advances.

The trade balance (foreign exchange basis) showed its maximum deficit in the first quarter of 1964 and began to recover swiftly with the tight money policy. Equilibrium had already virtually been attained in the second quarter of 1964; thereafter a trade surplus emerged, which increased substantially in 1965. As against a deficit of $ 207 million in 1963, there was a trade surplus of $ 408 million in the first half of 1965. According to the latest data (July-August 1965), the seasonally adjusted trade surplus is at present averaging over $ 150 million a month. This very rapid recovery of the trade balance has been attained exclusively by the expansion of exports; in previous cycles a decrease of imports had always been a major contributor to the restoration of balance.

The deterioration of the current invisible balance has persisted. Transport has shown the biggest deterioration, but the deficits on insurance, investment income and foreign travel account have also increased. As a result, the current account deficit actually rose to $ 358 million in 1964, the deterioration of invisibles more than offsetting the gain on trade. But in the first half of 1965 the current account swung to a surplus of $ 102 million, despite a further widening of the invisible gap.

Long-term capital produced a considerable surplus in 1964 ($ 378 million), but became negative from March 1965 onwards. This reversal was due to a decrease in receipts, mainly ascribable to the dollar defence measures taken by the U.S. authorities, and to an increase in the repayment of loans. It is the first time since 1961 that the long-term capital balance has been negative.

On short-term capital account a deficit appeared in the middle of 1964 and persisted thereafter. An increasing part of this deficit is the reflection of the favourable trade balance, commercial credit granted being in excess of credit received.

Official gold and foreign exchange reserves did not change much during 1964. They increased in the first quarter of 1965, reaching $ 2,053 million, but decreased during the second quarter of 1965 by about $ 73 million, due to the increased deficit on capital account, and to the GAB drawing by the U.K. ($ 25 million); they remained almost stable in the third quarter. The net foreign asset position of foreign exchange banks has been improving.

TABLE 5. **EXPORTS BY MARKETS (customs basis)**

$ million.

	1962	1963	1964	1964 FIRST HALF	1965 FIRST HALF	INCREASE RATES (%)		
						1963/1962	1964/1963	1965/1964 FIRST HALF
Asia	1,674	1,868	2,180	975	1,279	11.6	16.7	31.2
South Eastern Asia	1,074	1,205	1,397	635	770	12.2	15.9	21.3
China, Mainland	38	62	153	61	113	63.2	146.8	85.2
Europe	845	892	1,080	490	590	5.6	21.1	20.4
OECD-Europe	672	708	852	402	480	5.4	20.3	19.4
USSR	149	158	181	66	74	6.0	14.6	12.1
North America	1,656	1,795	2,267	962	1,334	8.4	26.3	38.7
USA	1,400	1,507	1,842	790	1,114	7.6	22.2	41.0
South America	224	198	212	84	107	—11.6	7.1	27.4
Africa	335	475	608	237	424	41.8	28.0	78.9
Liberia	50	133	194	59	209	166.0	45.2	254.2
Oceania	180	223	323	137	186	23.9	44.8	35.8
Total	4,916	5,452	6,673	2,883	3,923	10.9	22.4	36.1
(OECD Countries)	2,208	2,352	2,880	1,275	1,707	6.5	22.4	33.9

Source: Ministry of Finance.

TABLE 6. BALANCE OF PAYMENTS (exchange basis)

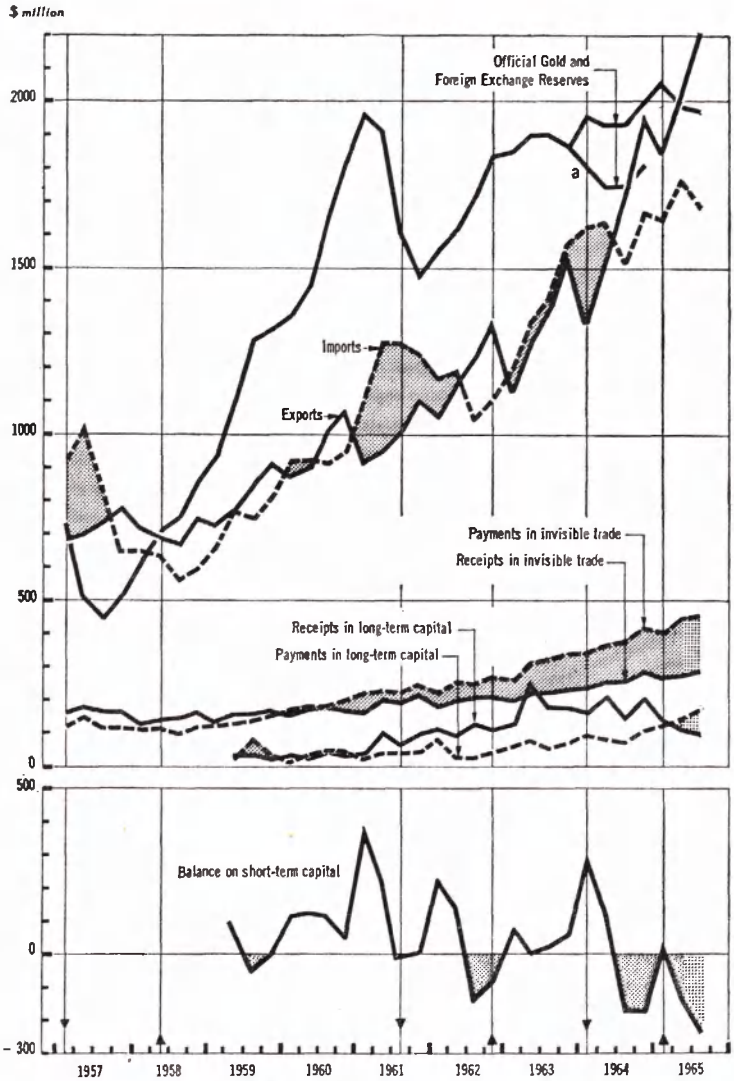
$ million. Quarterly totals.

	EXPORTS[1]	IMPORTS[1]	TRADE[1] BALANCE	INVISIBLE TRADE BALANCE	CURRENT ACCOUNT BALANCE	LONG-TERM CAPITAL			SHORT-TERM CAPITAL BALANCE	CAPITAL ACCOUNT BALANCE	OVERALL BALANCE
						RECEIPTS	PAYMENTS	BALANCE			
1963: I	1,139 (1,242)	1,214 (1,197)	—75 (45)	—64	—138	131	66	65	85	151	22
II	1 286 (1,315)	1,349 (1,285)	—64 (30)	—92	—155	257	80	176	8	184	39
III	1,384 (1,363)	1,414 (1,472)	—30 (—109)	—98	—127	182	58	124	29	153	4
IV	1,548 (1,410)	1 588 (1,623)	—40 (—213)	—113	—153	180	77	103	62	165	—28
1964: I	1,349 (1,477)	1,629 (1,610)	—281 (—133)	—108	—389	169	99	69	298	368	—62
II	1,534 (1,573)	1,647 (1,570)	—112 (3)	—110	—222	214	88	126	127	253	—59
III	1,736 (1,711)	1,522 (1,584)	214 (127)	—116	98	160	77	83	—162	—79	2
IV	1,960 (1,781)	1,679 (1,718)	281 (63)	—127	154	211	111	99	—164	—65	40
1965: I	1,806 (1,964)	1,654 (1,628)	152 (336)	—132	20	144	130	14	34	48	51
II	2,030 (2,080)	1,774 (1,695)	256 (385)	—174	82	116	145	—29	—132	—160	—110
III	2,204 (2,175)	1,685 (1,755)	519 (420)	—167	352	93	164	—71	—239	—310	19

1. Trade figures in brackets are seasonally adjusted.

Source: Bank of Japan, Economic Statistics Monthly.

Diagram 6. **BALANCE OF PAYMENTS**



a : excluding the change in IMF gold tranche position (= $ 180 million).

Note : ↓ denote the start of tight money policy (first increase in the official discount rate in each cycle), and ↑ denote the start of relaxation of tight money policy (first reduction of the official discount rate in each cycle).

Source: The Bank of Japan.

III. *Economic Policies: Credit and Public Finance*

Monetary Policy

The sharp increase in imports after the middle of 1963 and the consequent deterioration of the balance of payments induced the authorities to take restrictive monetary measures from the end of 1963 onwards. The major steps were, in summary:

i) December 16, 1963: The Bank of Japan raised the required reserve ratios from 1.5 per cent to 3.0 per cent for deposits other than time deposits in major banks.

ii) January 10, 1964: The Bank of Japan re-imposed a ceiling on the increase in loans of commercial banks (ceilings which had been abolished since May 1963). The "New Window Guidance", as it is called, was operated on a quarterly basis, as against a monthly basis in its former version. For the January-March period 1964, the ceiling was put at a level 10 per cent below the actual increase of commercial bank loans in the corresponding period a year earlier; for the second quarter the ceiling was put at 12 per cent lower, and for the rest of the year at 22 per cent lower than actual loan increases twelve months earlier.

iii) March 18, 1964: The Bank of Japan raised its official discount rate by 0.730 per cent a year from 5.84 to 6.57 per cent. On the same date, the Government raised its prior deposit requirements for imports to prevent speculative moves.

iv) In addition, the Bank of Japan lowered the ceiling of the amount of its own advances to commercial banks.

Although the equilibrium of external trade was restored as early as the second quarter of 1964 and, after the middle of the year, the balance moved into surplus, it was only in December 1964 that the authorities began to relax the tight money policy. The major steps were as follows:

i) December 16, 1964: The Bank of Japan reduced the required reserve ratios to their earlier levels.

ii) January 9, 1965: The Bank of Japan reduced its official discount rate from 6.57 per cent to 6.21 per cent.

iii) April 1, 1965: The Government reduced the prior deposit requirements on imports to the earlier levels.

iv) April 3, 1965: The Bank of Japan reduced its official discount rate by another 0.365 per cent to 5.84 per cent.

v) June 26, 1965: The Bank of Japan reduced its official discount rate to 5.48 per cent, the lowest level in the post-war period. At the same time, "Window Guidance" was suspended.

vi) July 16, 1965: The Bank of Japan further reduced the required reserve ratios. The ratio for time deposits (applied to banks with outstanding deposits from 20 to 100 billion yen), was cut by half to 0.25 per cent and that for other deposits by two-thirds to 0.5 per cent.

The movements of money supply and credit are indicated in Table 7. The increase in money supply for 1964 as a whole was only half as big as in 1963. A contraction in the first half-year, reflecting diminished credit by the city banks and a cash surplus of the Treasury, was followed by an expansion, mainly due to the Treasury's cash deficit. In the first half 1965, the seasonal cash surplus of the Treasury was, though only to a small part, offset by some expansion in bank credit; thus, money supply declined less than in the first half of 1964.

TABLE 7. MONEY SUPPLY, 1963-1965

Billion yen.

	1963		1964		1965
	I	II	I	II	I
Net Receipts (—) or Net Payments of Treasury Funds (A)	—156.8	306.4	—226.6	711.0	—331.9
of which: Foreign Exchange Fund	86.2	—13.2	—79.8	48.0	—13.3
Change in Accounts of Financial Institutions (B)	931.3	943.6	—93.8	619.5	250.8
of which: Change in Loans	1,850.4	2,454.9	1,137.5	2,038.7	1,150.8
Change in Time Deposits (— = increase)	—1,078.4	—1,319.9	—1,097.3	—1,085.9	—1,043.8
Increase or Decrease in Total Money Supply (A + B)	774.5	1,250.0	—320.4	1,330.5	—81.1
Deposit Currency	884.7	919.9	—171.5	925.2	91.7
Cash Currency	—110.2	330.1	—148.9	405.3	—172.8

Source; Economic Statistics Monthly, The Bank of Japan.

Also, in order to tighten the money market, the Bank of Japan changed its securities buying and selling policies in the spring of 1964 and sold to the banks 30.1 billion yen of long-term securities in the first half of the year. The banks derived the necessary funds through borrowing from the Bank of Japan and in the call money market. The borrowing of banks from the Bank of Japan increased by 138 billion yen in the first half of 1964, as against a decrease of 150 billion yen in the corresponding period a year earlier. Call money borrowed by banks increased by 248 billion yen (85 billion yen in the same period a year before). The call money rate increased as a consequence from 7.67 per cent in January to a peak level of 11.32 per cent in August-September (unconditional, average, Tokyo).

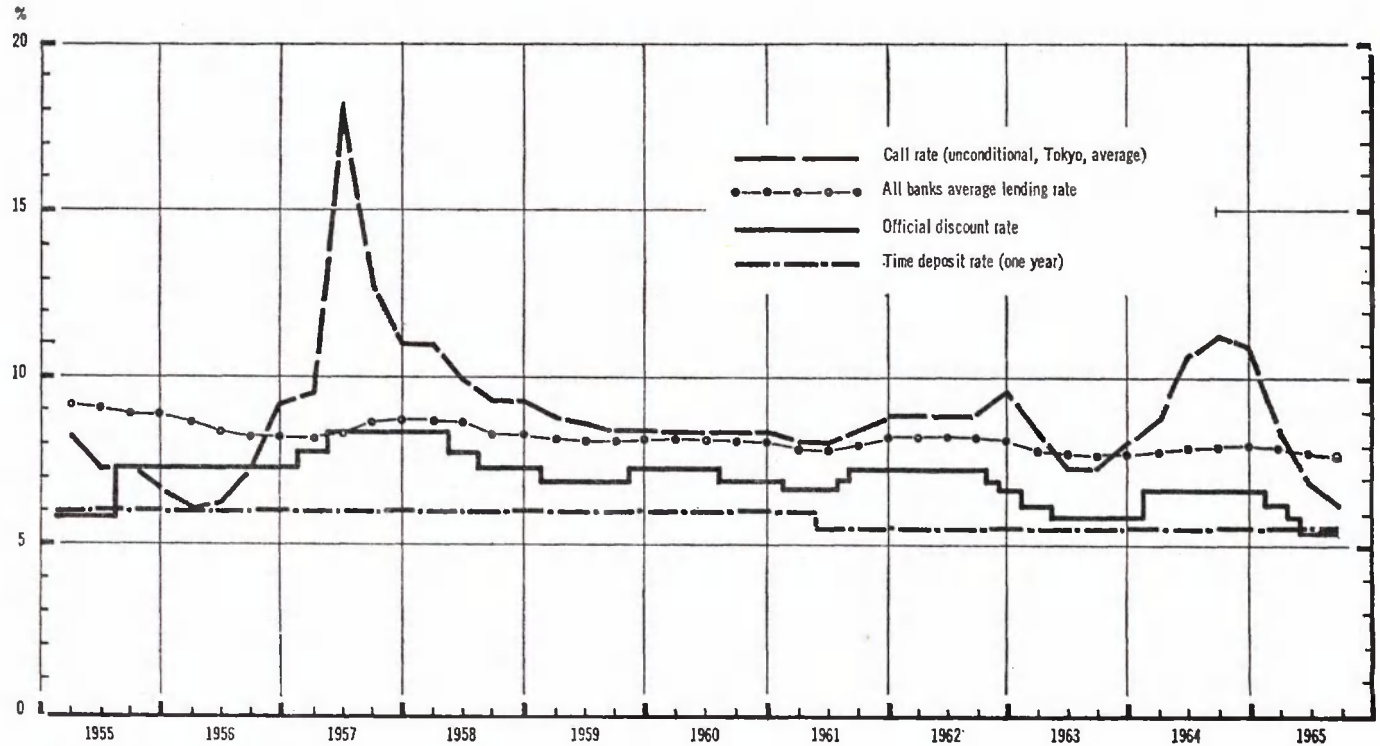
Their worsened liquidity position and the ceilings set by the "Window Guidance" limited the increase in lending by the banks in the first half of the year to little more than half that of the same period in 1963. In the latter part of 1964, due partly to the big cash deficit of the Treasury and partly to the weakened demand for funds, the money market eased. The call money rate dropped to 10.95 per cent in November-December, and borrowing by banks from the Bank of Japan decreased by 264 billion yen in the second half of the year. Bank lending to the private sector in the second half of 1964 rose to 1,406 billion yen (as against 1,651 billion in the second half 1963). During the year, the liquidity position of corporate business gradually declined, reflecting the credit squeeze. The increase in the liquid holdings (cash, current deposits and short-term deposits) of corporate business was only 464 billion yen, as against 1,375 billion yen during 1963.

Call money rates declined considerably during the first half of 1965; indeed, the Bank of Japan found it necessary to resume open-market sales to prevent too abrupt a fall. Despite the cuts in the official discount rate, the liquidity of the banks did not improve much during the first half of 1965 because of the big cash surplus of the Treasury and of the selling operations of the Bank of Japan. The dependence of banks on borrowed money (including money borrowed from the Bank of Japan) and call money even increased (borrowed money increased by 64 billion yen and call money by 231 billion yen). At the same time, weaker demand from business and a more conservative attitude on the part of the banks, reflecting the increased number of business failures, tended to moderate lending. As a result, the increase in bank loans during the first half of 1965 (807 billion) was smaller than during the same period of 1964.

Despite the change in official monetary policies, and the unprecedently low level of the discount rate of the Bank of Japan, the lending rates of city banks declined only moderately. And, in last January, when the Banks Federation, under the guidance of the financial authorities, decided to cut lending rates, ordinary bills (which are not eligible for re-discount and represent 40 to 70 per cent of the total lending of the banks) were excluded. The reasons for this slow and limited response of lending rates, which tends to frustrate the expansionary effects of the lowering of the discount rate, seem complex. Interest rates on deposits have not declined, but call money rates fell sharply so that the city banks (which derive a non negligible proportion of their loanable funds from the call money market) have been able to maintain, on the whole, their profit margins. It is probable that the banks' lending attitude has become more cautious, because of the general sluggish business conditions. However, if further reductions in lending rates were considered desirable, a cut in the interest rate on deposits would seem required.

Another particular feature of the banking picture is that the official discount rate has become lower than the yield of the securities in which

Diagram 7. **INTEREST RATES**



Source: The Bank of Japan.

the Bank of Japan deals in its open market operations (above 7 per cent). Banks are therefore rather reluctant to sell securities since it is more profitable to use them as collateral to borrow from the Bank of Japan than to obtain money by selling them. This makes open market operations difficult and the Bank of Japan is switching to lending as a major means of increasing the money supply.

Budgetary policy

Japanese budgets have been framed, up to now, with the main objective of satisfying the State and social needs, whilst keeping a balanced relationship between the long-run developments in public expenditure (and the tax burden) and national income. The fact that since 1950, the Japanese economic scene was dominated by very strong expansionary forces, and that monetary policies had proved efficient in keeping the balance of overall supply and demand under control, explains why the Japanese authorities felt the need for neutral budgets and adhered strongly to the "balanced budget" principle. It therefore can be said that, on the whole, the budget was not considered as an anti-cyclical instrument, although, at times, measures in the budgetary field had been taken to reinforce the restrictive effects of monetary policies.

The main preoccupation of the Authorities, when the 1964 budget was drafted, was to limit the size of public finance in national income. A big tax cut was introduced — in fact, the biggest in recent years, if cuts in local taxes are included — and expenditures were trimmed correspondingly, in order to keep the budget in balance. Total tax reductions amounted to 168.5 billion yen (74.5 billion yen for income taxes, 58.6 billion yen for corporate taxes, and 55.7 billion yen for local reduction in income taxes. Indirect taxes were raised by 24.8 billion yen). The reduction in income taxes was due almost exclusively to the enlargement of various allowances to alleviate the tax burden on lower income groups; the corporate tax reduction was mainly the result of more favourable depreciation allowances for machinery. This cut, together with a drastic decrease in the surplus carried over from the previous year, was responsible for the very modest increase in spending plans. (The sharp decline in the carry-over from the previous year was due to the smaller-than-expected increase in tax yields in fiscal year 1962.) The Financial Loan and Investment Program[1], however, continued to expand rapidly; its increase of 20.8 per cent over fiscal 1963 (initial estimates) was only slightly lower than the previous year's 22.6 per cent increase.

1. A program financed by postal savings, pension funds, Government-guaranteed bonds, etc., and providing finance to enterprises of public interest, social investment programmes, etc. See the 1964 Survey, para 66 (*d*) and Table 9.

TABLE 8. **BUDGET (GENERAL ACCOUNT) : INITIAL AND FINAL ESTIMATES AND FINAL SETTLEMENTS**

Fiscal Years, billion yen.

	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963	1964	1965
Initial Budget (A)	999.6	991.5	1,034.9	1,137.5	1,312.1	1,419.2	1,569.7	1,952.8	2,426.8	2,850.0	3,255.4	3,658.1
Final Budget (B)	999.9	1,013.3	1,089.7	1,184.6	1,333.1	1,512.1	1,765.2	2,107.4	2,563.1	3,056.8	3,340.5	—
Settled Revenue (C)	1,185.1	1,126.4	1.232.5	1,399.9	1,453.7	1,597.2	1,961.0	2.515.9	2.947.6	3.231.2	3,446.8	—
Settled Expenditures (D)	1,040.8	1,018.2	1,069.2	1,187.7	1,331.6	1,495.0	1,743.1	2,063.5	2,556.6	3,044.3	3,310.9	—
Per cent increase of:												
Initial Budget	3.5	—0.9	4.4	9.9	15.3	8.2	10.6	24.4	24.3	17.4	14.2	12.4
Initial Budget over previous year's Final Budget	—2.7	—0.8	2.1	4.4	10.8	6.5	3.8	10.6	15.2	11.2	6.5	9.5
Initial Budget over previous year's Settled Revenues	—18.0	—16.3	—8.7	—8.7	—6.3	—2.4	—1.7	—0.4	—3.5	—3.3	0.7	6.1
Initial Budget over previous year's Settled Expenditures	—1.7	—4.7	1.6	6.4	10.5	6.6	5.0	12.0	17.6	11.5	6.9	10.5
Settled Revenues	—2.8	—5.0	9.4	13.6	3.8	9.9	22.8	28.3	17.2	9.6	6.7	—
Settled Expenditures	2.3	—2.2	5.0	11.1	12.1	12.3	16.6	18.4	23.9	19.1	8.8	—
B/A (%)	100.0	102.1	105.3	104.1	101.6	106.5	112.5	107.9	105.6	107.3	102.6	—
C/A (%)	118.5	113.6	119.1	123.1	110.8	112.5	124.9	128.8	121.5	113.4	105.9	—
D/A (%)	104.1	102.6	103.3	104.4	101.5	105.3	111.0	105.7	105.3	106.8	101.7	—
Actual Growth rate of GNP	5.4	10.3	12.8	9.2	2.4	21.0	16.6	20.9	8.9	16.3	14.2	—
Forecasted Growth Rate of GNP[1]				7.6	2.3	6.1	7.8	9.8	5.4	8.1	9.7	11.0

1. Preliminary estimate of actual performance of GNP for the previous year (made at the beginning of each year) over forecasted GNP for the current year (made at the beginning of each year), in nominal terms.

Sources: 1. Zaisei Tokei (Financial Statistics), 1962, Budget Bureau, Ministry of Finance.
2. Kuni no Yosan (National Budget), 1964, Budget Bureau, Ministry of Finance.
3. Kokumin Shotoku Hakusko (National Income Report), 1962, Economic Planning Agency.
4. Outlook and Basic Policy on the National Economy, Fiscal Year 1964 January 21, 1964, Economic Planning Agency.

In fact the 1964 budget was restrictive, in the sense that it provided for an increase in receipts and expenditures lower than in any of the past four years. Expenditure was planned to rise by 14 per cent over the previous year's initial budget, but only 6.5 per cent over that year's supplemented budget, and since at the time the nominal GNP was expected to rise by nearly 10 per cent, this virtually implied a reduction in the weight of government spending in GNP. From 1961 onwards, budget expenditure had been growing rather consistently faster than the estimated growth of GNP, and the change in trend could be expected to have a restrictive influence.

Supplementary estimates in November 1964 added 85 billion yen to revenue and expenditure estimates of the general account budget. The Financial Loan and Investment Program was also revised in the course of the year and another 99.5 billion yen was added (+ 7.4 per cent of the initial program). Actual tax revenues fell short of the revised estimates by about 20 billion yen (or 0.7 per cent of the estimated total), due mainly to the shortfall in corporate taxes of 28 billion yen, resulting from the sluggish economic situation. A similar shortfall in revenues has occurred only in 1958.

TABLE 9. **TAX REVENUES, ESTIMATED AND ACTUAL (General Account)**

Billion yen.

	TAX REVENUES ESTIMATED FOR INITIAL BUDGET (A)	SUPPLEMENTARY ESTIMATES (B)	TAX REVENUES ESTIMATED AFTER SUPPLEMENTATION (A + B) = (C)	TAX REVENUES SETTLED (D)	TAX REVENUES IN EXCESS OF ESTIMATES	
					D—C	D—A
Fiscal:						
1954	771.8	6.5	778.3	798.4	20.1	26.6
1955	774.8	16.0	790.8	796.0	5.2	21.2
1956	826.7	53.0	879.7	950.2	70.5	123.5
1957	946.9	42.4	989.3	1,049.9	60.6	103.0
1958	1,025.9	8.0	1,033.9	1,031.8	— 2.1	5.9
1959	1,121.2	57.3	1,178.5	1,213.4	34.9	92.2
1960	1,336.6	187.9	1,524.5	1,618.3	93.7	281.6
1961	1,664.9	154.6	1,819.5	2,017.6	198.1	352.7
1962	2,042.1	136.3	2,178.4	2,195.9	17.5	153.8
1963	2,305.3	206.8	2,512.1	2,530.2	18.1	224.9
1964	2,904.3	65.0	2,969.3	2,949.7	— 19.6	45.4
1965	3.287.7					

Source: Ministry of Finance.

In the event, the trend of government expenditure in the national accounting sense in 1964 turned out to be less deflationary than the

TABLE 10. MECHANISM OF CARRYING OVER SURPLUS

Fiscal Years, billion yen.

		1954	1955	1956	1957	1958	1959	1960	1961	1962	1963	1964
	1. Surplus carried over "from the previous year"	40	41	38	19	100	81	17	51	125	263	76
	2. Current revenues in the initial budget	960	951	997	1,119	1,212	1,338	1,553	1,902	2,302	2,587	3,179
	3. Revenues and expenditures in the initial budget (1 + 2)	1,000	992	1,035	1,138	1,312	1,419	1,570	1,953	2,427	2,850	3,255
	4. Revenues settled	1,185	1,126	1,233	1,400	1,454	1,597	1,961	2,516	2,948	3,231	3,447
	5. Expenditures settled	1,041	1,018	1,069	1,188	1,332	1,495	1,743	2,064	2,557	3,044	3,311
	6. Surplus (4 — 5)	144	108	163	212	122	102	218	452	391	187	136
Sources of (6)	7. Net increase in current revenues	(—) 18	5	107	68	10	61	133	285	63	59	25
	8. Increase in revenues	23	31	141	118	30	137	306	396	193	253	81
	9. (—) increase in expenditure	41	26	34	50	20	76	173	111	130	194	56
	10. Reserved fund carried over from the previous year	121	65	38	44	31	25	34	42	65	52	41
	11. *New* surplus carried over from the previous year	41	38	19	100	81	17	51	125	263	76	70
Disposal of (6)	12. Reserved fund for the next year	65	38	44	31	25	34	42	65	52	41	42
	13. *New* surplus carried over from the previous year and to the next year (= 11)	41	38	19	100	81	17	51	125	263	76	70
	14. *New* surplus of this year (carried over to the budget of two years' later)	38	32	100	81	17	51	125	263	76	70	24
	15. Net increase in current revenue (= 7)	(—) 18	5	107	68	10	61	133	285	63	59	25
	16. Difference between reserved fund carried in and out (10 — 12)	56	27	(—) 6	13	6	9	(—) 8	(—) 23	13	11	(—) 1

Sources: Kunino Yosan, 1964, 1963, Ministry of Finance, Zaiseitokei, 1962, Ministry of Finance, Zaisei Shuyo Sanko Shiryo, 1964, 1965, Ministry of Finance.

budget's General Account suggested. Including local authority spending, FLIP, etc., it increased by 16.5 per cent in nominal terms, i.e. almost at the same rate as the GNP, though substantially less than its average annual increase of about 20 per cent in the previous four years. The spacing of expenditure over the year was perhaps more fortunate; eliminating seasonal variations, expenditure increased but little in the second and third quarters of calendar 1964, when the economy was still on an upward trend, but rose substantially in the fourth quarter of 1964 and the first quarter of 1965, when the economy was clearly in need of support.

The 1965 budget was drafted with the expectation that, as in the past, credit policy would prove sufficient to engineer a recovery. It tried, therefore, to avoid giving excessive stimulus to the economy, and the desirability of a tax cut seems again to have been the main consideration concerning the size of the budget. This led once more to a corresponding limitation of the expansion in expenditures to comply with the "balanced budget" principle. And in May 1965, when it became apparent that business conditions were inducing a shortfall of actual revenue compared with forecasts, the decision was taken to reduce general account expenditure by 100 billion yen (which would have represented 0.4 per cent of GNP).

Thus, the general account budget for fiscal year 1965 totalled 3,658 billion yen, an increase of 12.4 per cent over the initial budget for 1964, or only 9.5 per cent over the budget after the supplementary estimates; as the estimated growth of the GNP for the fiscal year 1965 was 11 per cent in nominal terms, the intended weight of the budget in the GNP continued to decline. Tax cuts including cuts in local taxes, reached 129 billion yen (income taxes were cut by 65 billion; corporate taxes by 57 billion and local taxes by 17.2 billion; indirect taxes were raised by 11 billion yen). The revenue carry-over from the previous year was only 70 billion yen, reflecting the combined effects of the relatively small unexpected gain in revenue and the relatively big supplementary expenditure during the fiscal year 1963. The Financial Loan and Investment Program amounted to 1,620 billion yen, a rise of 20.9 per cent over the previous year's initial plan. Among the expenditures in the general account, social security, public works, and housing were planned to rise the most.

The prolongation of the recession, and the lack of response of the economy to the new credit policy led the Authorities to reconsider their attitude towards anti-cyclical use of public finance. In June 1965, the Government took a series of steps in the budgetary field to stimulate the economy:

i) Expenditure in the general account was to be accelerated so that by the end of the calendar year 1965 it would be by 100 billion yen higher than previously planned. This implied a 15 per cent growth of expenditure in the April to December 1965 period compared with the corresponding period of 1964;

TABLE 11

a) GENERAL ACCOUNT BUDGET

Fiscal years. Billion yen.

	1963	1964	1965
Total Revenue	3,057	3,340	3,658
Taxes and Stamp Revenues	2,512	2,969	3,288
Monopoly Profit	158	159	166
Receipts from Government Enterprises and Properties	26	15	17
Miscellaneous Revenues (incl. Sales of Government Properties)	98	121	118
Surplus Carried Over from the Previous Year	263	76	70
Total Expenditure	3,057	3,340	3,658
Social Security	388	444	516
Promotion of Education and Science	391	429	475
Pensions and Others	135	160	167
Local Allocation Tax[1]	585	637	716
National Defense	248	281	301
Public Works	530	608	689
Others	780	781	794

1. i.e. the part of the proceeds of income tax, corporate tax and liquor tax transferred to local authorities.

Source: Ministry of Finance.

NOTE. 1963 F.Y. and 1964 F.Y. refer to the final budget, 1965 F.Y. to the initial budget.

b) THE FINANCIAL LOAN AND INVESTMENT PROGRAM

Fiscal years. Billion yen.

	1963	1964	1965
Welfare	341	426	535
Housing	152	181	226
Water, Sewage, etc.	123	161	201
Agriculture and Smaller Industries	222	282	321
Roads, Transportation, Regional Development	430	494	516
Key Industries, etc.	220	237	248
Total	1,213	1,440	1,621

Source: Ministry of Finance and Economic Planning Agency.

NOTE. 1963 F.Y. and 1964 F.Y. refer to the final plan, 1965 F.Y. to the initial plan.

ii) Expenditure of the Financial Loans and Investment Program was also to be accelerated by 120 billion yen by the end of September, thus exceeding those in the corresponding period of the previous year by 200 billion yen;

iii) The three Governmental financial institutions which lend mainly to small and medium size enterprises were to use 50 per cent of their total loanable funds during the first half of the fiscal year (i.e. by end-September), instead of 43 per cent in the corresponding period of the previous year.

In July, feeling that still more stimulation of the unexpectedly sluggish economy was necessary, the Government took the following decisions:

i) Within an unchanged total for the year, the amount of local government bonds authorized should be stepped up by 110 billion yen in the April to September period;

ii) Long-term domestic Government bonds would be floated in the fiscal year 1966.

iii) The previous decision, taken in May, to reduce total expenditures in the general account by 100 billion yen was cancelled.

iv) The Financial Loans and Investment Program was increased by 210 billion yen; 50 billion yen for housing, 30 billion yen for water supply and sewer systems, 20 billion yen for transportation, etc. [1].

v) The standard interest rate of the three Governmental financial institutions for the medium and small size enterprises was lowered by 0.3 per cent.

The possible effects of these measures on the level of demand are discussed in the following section. But one consequence of the economic situation on public finances has already materialized, in the shape of a not negligible shortfall of revenue compared with forecasts. In the first four months of the current fiscal year, tax receipts amounted to 28.1 per cent of the total foreseen for the year, instead of 30.6 per cent in the corresponding period last year, a loss equivalent, on an annual basis, to about 200 to 250 billion, or 6 to 8 per cent of tax receipts. Under these circumstances, the Government is now considering the issue of public bonds in the current fiscal year, so as to avoid the need to reduce planned expenditure.

IV. *Presents prospects and policy problems*

The present recession in Japan seems to differ in important aspects from the previous ones. First, and most apparent, the economy has failed

1. Approximately one quarter of this amount will have to be contributed by the recipients of the loans; the rest will be financed by the FLIP. The additional resources for the FLIP will come mostl y from the increase in postal savings, and for the rest from the issue of public bonds of the recipient institutions.

to respond, for three quarters now to the relaxation of monetary policies; also symetrically, in 1964, the reaction of the economy to the restrictive measures was very much delayed, in comparison with previous cases. This can be clearly seen from the index of industrial production (Diagram 8, *a.*). A related aspect is the particular behaviour of inventory investment and private productive investment. In previous cycles, both these components of demand declined soon after the restrictive measures were adopted, and recovered soon after these measures were relaxed; in the present cycle, the decline in inventory accumulation remained limited, whilst productive investment went on rising until the end of 1964, and started declining when credit policies became expansionary again (Diagram 8 *b.*). Lags of one or two quarters in investment behaviour have been observed also in past cycles; but the present behaviour of fixed investment can hardly be explained as a lagged response to restrictive measures reversed almost a year ago. The weakening of investment decisions has been pronounced and continuous in 1965 so far, as indicated by investment intention surveys and by new non-residential construction starts and new orders for machinery which usually lead actual investment figures by about six months (cf. also Diagram 1).

It seems, therefore, that the present recession is distinguished from its predecessors by the nature of the main causal factors. The previous recessions were triggered by the restrictive measures of the Authorities which forced upon the economy a strong inventory cycle; with this was combined a limited fixed investment cycle linked not so much to the current state of demand, as to the credit restrictions. The present recession, on the contrary, seems to reflect a strong and "autonomous" investment cycle; such, at least, seems to be the reason why monetary policies have failed to induce a recovery.

If, indeed, changes in Japanese monetary policy were in the past conspicuously successful in inducing desired changes in capital expenditure, this was because of two factors: the structure of investment financing, and the investment behaviour of Japanese firms. The financing of Japanese industry is characterized by "over-borrowing" from the banks, to which corresponds an "over borrowing" by the banks from the Bank of Japan [1]. Thus, through monetary and credit measures, the authorities were able to control not only the cost, but even the sheer supply of capital to an important degree. This has probably enhanced the efficiency of changes in interest rates by comparison with the situation in other countries. Nevertheless, changes in interest rates have proved insufficient by themselves to prevent periods of excess investment demand, because the marginal efficiency of capital, or the rate of net profit on additional capital has generally remained considerably higher than interest rates. The main

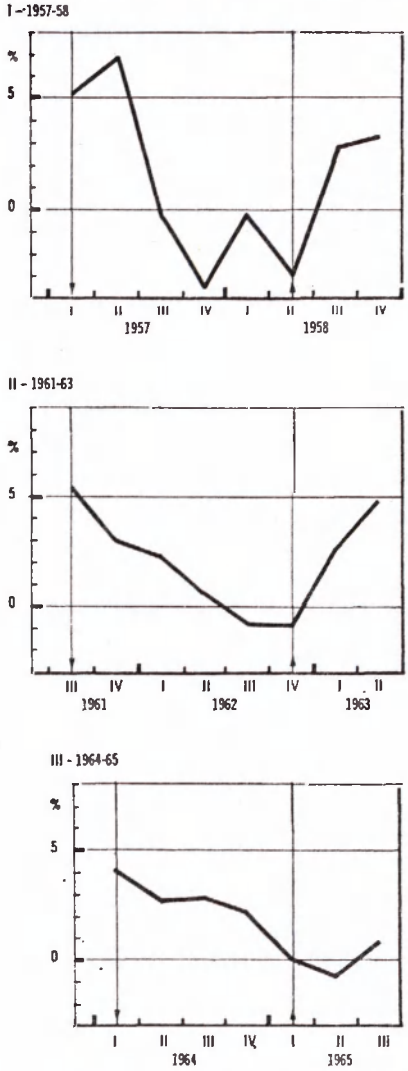
1. See 1964 Economic Survey by the OECD "Japan", paras 57-61.

Diagram 8. **COMPARISON**

a) INDUSTRIAL PRODUCTION

MINING AND MANUFACTURING

Percent change over the previous quarter, seasonally adjusted



Note : ↓ denote the start of tight money policy (first increase in the official discount rate in each cycle), and

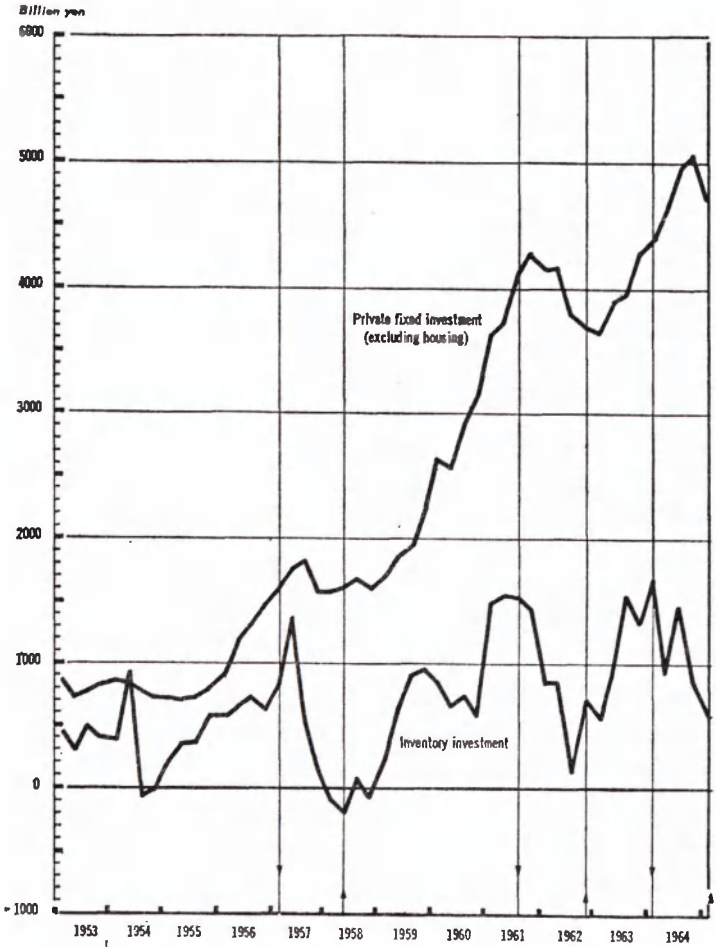
↑ denote the start of relaxation of tight money policy (first reduction of the official discount rate in each cycle).

Source: Ministry of International Trade and Industry.

OF THREE CYCLES

b) INVENTORY INVESTMENT AND PRIVATE FIXED INVESTMENT

SEASONALLY ADJUSTED, ANNUAL RATES



Note : ↓ denote the start of tight money policy (first increase in the official discount rate in each cycle), and ↑ denote the start of relaxation of tight money policy (first reduction of the official discount rate in each cycle).

Source: Economic Planning Agency.

reason why monetary policy has worked so efficiently in Japan lies probably in the system of strict quantitative controls, implying from time to time drastic cuts on the amounts of new loans granted by banks, applied by the Bank of Japan. This system, known in Japan as "Window Guidance", is sometimes considered as working through moral suasion. The heavy dependence (over borrowing) of banks vis-à-vis the Bank of Japan no doubt lends teeth to morality. "Window Guidance" is the process by which the Bank of Japan maintains constant surveillance over the deposit, cash and loan position of the commercial banks, including their projected changes in forthcoming months. The Bank of Japan indicates to each bank what it believes to be an appropriate overall loan level. On occasions this may amount to a virtual freezing of total credit outstanding. The Central Bank is subsequently able to check the performance of each bank, and may issue further requests and admonitions. The system is widely admitted to have been the most powerful weapon in periods of excess demand, although its arbitrary character is often criticized in favour of a freer functioning of interest rates and the market mechanism. Perhaps because of these criticisms, it was abolished in May 1963; but when, in 1963-1964, the situation of the balance of payments became again critical, "Window Guidance" was re-introduced (January, 1964).

But, for purposes of controlling fixed investment, monetary policy entails an asymetry which many other countries have experienced. When demand for funds is high, restriction of their supply almost automatically tends to reduce investment. But an abundant supply of funds when demand for them is low has no effect upon investment. Before the present recession, this asymetry did not manifest itself in Japan, because of the second factor mentioned above, the investment behaviour of firms. Firms seem to have acted as if the only restraining factor for their investment was the availability of funds; in other words, a sort of pent-up demand for fixed investment was permanently present, so that an easier supply of funds had an immediate effect on capital expenditure. That the short-term demand situation played little role in this respect seems evidenced by the immediate reaction of orders for machinery, both in 1958 and in 1962, to the relaxation of the monetary measures, before these had time to strengthen other types of demand. Inventory demand was leading the recession, and investment demand was leading the recovery.

The question, then, is why investment behaviour is different in the present recession, why the abundant supply of funds and the falling cost of borrowing prove unable to prevent the continuing decline in investment decisions. It has been said that the state of confidence among Japanese business circles had been seriously shaken; but one does not see why it should have, unless it is the effect of the state of the economy induced by the weak willingness to invest. It is certainly true that the present state of demand is not conducive to investment expansion; but as already pointed

out, this factor did not play such a role in the previous recessions. The reason seems rather to lie in the existence of an excess capacity in the manufacturing industries of an order far exceeding the margins of the usual cyclical fluctuations. The evidence which can be adduced in support of this idea relates, first, to the experience of the 1963 boom; as noted in pages 6-9 above, output responded then so elastically to the expansion of demand, that inventory/delivery ratios started rising six months after the beginning of the boom, and, as a consequence, new orders for machinery started weakening already before the turn of the year. It would seem very significant indeed, that during the 1963-64 expansion of investment, new orders for machinery remained well below the levels of 1961. A more general consideration is that, for many years, productive investment has been rising much faster than gross national product — in other words, the share of investment in national expenditure has been increasing (see Table 12). Such a development is compatible with dynamic equilibrium only if total demand (and output) is expanding at an accelerating rate, or if the "true" (technological) capital/output ratio is constantly rising. Total demand, of course, cannot indefinitely expand at an accelerating rate, and, in practice, this has not been the case in Japan. The average growth rate of the GNP remained almost the same in the 1960-1964 period as in 1956-1960, whilst, between the same periods, the share of productive investment in GNP rose considerably (see Table 12). And, even allowing for the increasing importance of replacement in gross investment, it seems unlikely that, in so short a period, so violent a shift in marginal capital/output ratios can have taken place. It seems therefore extremely probable that, over the last ten years, potential output has expanded much more than effective demand, with a fundamental weakness developing in the investment situation.

It may be asked why the underlying discrepancy has been unveiled at this particular time — or why should the share of investment in GNP attained in 1963-1964 be an "absolute barrier". In as far as this type of question can be answered at all, the answer is to be searched in the specific features of the 1963-1964 boom. If the boom had been allowed to go on, the expansion of demand might have continued to veil the growing gap between actual and capacity output. But the restrictions applied from December 1963 onwards, after only one year of expansion, though they did not have immediate effects on output, changed the prospects and created serious financial difficulties for many firms. That investment went on rising for some months is partly the effects of lags, but would need further explanation. At any rate, when production finally stopped rising, in the autumn 1964, the economy was again left with a capacity substantially higher than at the beginning of the boom, and with a strongly adverse inventory situation. To this, various unfortunate coincidences have added their influence. The monetary restrictions were maintained, despite the reversal in the balance of payments, because the monetary authorities were

TABLE 12. **GROWTH RATES AND INVESTMENT RATIOS (fiscal year, 1960 prices)**

	AVERAGE COMPOUND RATE OF GROWTH OF GNP IN REAL TERMS (%)		FIXED ASSET FORMATION AS % OF GNP	PRIVATE FIXED ASSET FORMATION AS % OF GNP	PRIVATE FIXED ASSET FORMATION EXCLUDING HOUSING AS % OF GNP[1]	APPARENT GROSS INCREMENTAL CAPITAL OUTPUT RATIOS		
	1		2	3	4	$\frac{2}{1}$	$\frac{3}{1}$	$\frac{4}{1}$
$\frac{1956}{1953}$	7.4	1953—1955	21.1	12.4	11.0	2.9	1.7	1.5
$\frac{1960}{1956}$	10.3	1956—1959	26.2	18.1	15.9	2.5	1.8	1.5
$\frac{1964}{1960}$	10.8	1960—1963	35.2	24.0	21.0	3.3	2.2	1.9

1. Secretariat estimates on the assumption of parallel price movements for housing and other components of private fixed investment.

Source: National Economic Account Quarterly and Kokumin-Shotoku-Hakusho, Economic Planning Agency.

still concerned with the price and wage situation. The budgets for 1964 and 1965 were less expansionary than usual. And these developments took place at a time of temporary saturation of demand for certain types of consumers' durable goods.

If the interpretation outlined above is correct, it would mean that the Japanese economy is nearing, or more probably, has entered the transition from a period of rising share of investment in GNP to a period of a stable share of investment. From this follow important implications for policy. First, difficult problems of sectoral balance may arise; the structure of an economy differs according to whether capital goods form a rising or a stable proportion of output, and specific policies to ease the transition will probably prove necessary. Second, if a prolonged recession is to be avoided, the authorities will have to ensure that types of demand other than investment grow fast enough to enable a new dynamic equilibrium to be achieved.

To turn, then, to the immediate situation, a resumption of the expansion of output seems unlikely so long as the inventories/deliveries ratio remains at its present very high level. And a resumption of the expansion of private productive investment is extremely unlikely as long as the ratio of capacity to current output continues to rise. (This ratio is still rising, because output has now been static for a year, but net investment has continued, albeit at a reduced rate.) One of the most preoccupying features of the present Japanese recession is the extreme difficulty which industry and trade

are encountering in disposing of excessive inventories. This is likely further to delay the necessary adjustment of the economy.

If the adjustment is not to consist of further reductions in output, with the risk of cumulative effects and further weakening of productive investment, measures to raise the overall demand are clearly imperative. The right size of such measures is difficult to define with precision, but the following considerations may illustrate the probable orders of magnitude. At the time of writing (third quarter 1965) excess inventories of finished goods would correspond to something like at least 10 per cent of their total. (Over the last twelve months inventories rose by 13 per cent, as against 2 per cent for deliveries, and a year ago the inventories/deliveries ratio was already higher than normal.) And the gap between capacity and current output must have increased over the last twelve months by at least 10 per cent of capacity. (It may be more. This calculation is based on what past experience could suggest to be a highly conservative estimate of the addition to capacity resulting from a given rate of investment.) If demand expanded by 10 per cent, the present level of inventories would become normal, output would rise correspondingly and productive investment might begin to grow again[1].

It is extremely unlikely that, unaided, private demand will expand in the coming months at that rate. Investment intention surveys indicate a likely fall of productive investment in manufacturing by about 6 per cent between the first and second halves of 1965. The picture may be less discouraging for investment in other sectors, but a decline in the total seems almost certain. The employment situation has been slowly but steadily deteriorating, and if the recent slowing down in the rise of wages continues, real purchasing power of the great mass of the consumers may decline. Consumer intention surveys point to a further weakening in the spending of households for the coming months. The only strong elements in final private demand are residential construction, which weighs little, and exports, which are unlikely to maintain for long their recent phenomenal rate of growth[2].

It is against this background that the recent governmental measures in the field of public finance, and the 1966 budget, should be considered. Appreciation of the economic effects of the measures taken is extremely difficult, if only because of uncertainties concerning the multiplier effect, the timing of application and the time-lags. One possible measure of their likely impact is the total expansion of government expenditure which they

1. This reasoning applies properly to mining and manufacturing industries only. Its extrapolation to the whole of the economy is possible on the assumption that short-term income elasticities of demand for the various sectors of the economy are close to unity.

2. It should also be noted that, since last July, the Stock Market has shown a recovery.

might provoke in the second half 1965. Normally, expenditure in the general account of the budget and the FLIP would have risen by about 250 billion yen; the measures taken in June and July, and the supplementary budget due to be presented to the Diet in the coming weeks, will probably add another 300 billion. The increase in public expenditures in the second half 1965 might therefore amount to about 550 billion, or 4 per cent of gross national expenditure at an annual rate. Another possible measure would be the rise of the public "deficit" in the broadest sense, likely to result from the combined effect of the short-fall in revenue and the rise in expenditure. This may be estimated at about 400 billion yen, or about 3 per cent of the GNP at an annual rate. To either of these estimates, an appropriate multiplier should be applied. The measures taken so far and the "automatic" stabilizer effect of the short-fall in revenue will certainly relieve the economy, but it is difficult to judge yet if they will suffice to lift it out of the recession.

Under these circumstances, it is essential that the authorities be prepared to provide to the economy, through the 1966 budget, the supplementary stimulus needed. The dimensions of the budget will naturally have to be adjusted in the light of the most recent indications about the trends in the economy at the time of its final drafting. But, in any case, a substantial expansion in general account expenditure and in the FLIP will be required, notwithstanding the fact that revenue will probably not progress much beyond the 1965 level.

CONCLUSIONS

The restrictive policies applied early in 1964 succeeded in controlling the balance of payments situation. But they came at a moment when, after a number of years of very high investment, only a continuous strong growth could have kept the economy in balance. The monetary restrictions which caused so early an interruption in the 1963 boom unveiled an underlying discrepancy between the growth of capacity output and of effective demand and thus induced, though with some delay, an investment downturn which is now in full swing. To this may have been added the effects of a temporary saturation of demand for consumers' durable goods, and of two consecutive budgets with a less expansionary impact than usual.

The reversal of policies which, for the reasons mentioned above, took place only in the beginning of 1965, produced inadequate results. The only type of demand to show any very significant buoyancy was exports; this was probably, in part at least, a function of the weakness of other demand categories. At present, virtually all components of private domestic demand are stagnant or declining. The economy is burdened with an accumulation of unwanted inventories of finished goods, which still continues; and the increasing gap between actual and potential output

makes any early resumption of the expansion of investment rather unlikely. Short of vigorous and speedy government action, the prospects are for continued slack — perhaps, indeed, continued recession.

Under present circumstances, there would seem no alternative to further action in the budgetary field. The steps taken by the Japanese authorities in June and July 1965 to accelerate or expand public expenditure already mark an important new departure. It is to be hoped that this orientation will be confirmed in the 1966 budget, now under preparation. A substantial expansion of public expenditure would seem the most appropriate way of overcoming the recession. And given the present stagnation of incomes and, consequently, of tax receipts, this will have to be financed by public borrowing. An important corollary is that the authorities should choose types and conditions of borrowing least likely to exert an upward pressure on interest rates or limit the finance available to private industry.

The shift of emphasis from monetary to budgetary policies corresponds to deep-seated changes in the Japanese economic scene. Up to now, relatively simple means of control of business fluctuations have proved sufficient, because the problem confronting the Japanese authorities was, itself, relatively simple. Given the peculiar features of the Japanese economy, and especially the heavy dependence of firms on borrowed funds, it was easy to moderate the expansion of the economy each time the balance of payments situation became critical; and given the intrinsic buoyancy of the economy (the very high propensity to invest, expressed by the rising share of investment in national expenditure), the authorities could virtually rely on a relaxation of restrictions to permit the expansion subsequently to resume its course. Last years' Survey of the Japanese economy[1] already envisaged that at some stage this rise of the share of investment in GNP would come to a halt, thus creating difficult transitional problems. While it is always difficult to diagnose a structural as opposed to a purely cyclical change, the present difficulties of the Japanese economy, and especially the weakness of investment, would seem to mark the transition to a stage where investment tends to be a constant, rather than an increasing, proportion of national expenditure. This, if correct, would imply that henceforth the propensity to invest will no longer constitute a guarantee for automatic and rapid expansion of demand. Demand management will have not only to be concerned with the dangers of excessive demand, but with insufficient demand as well. And in these conditions, it cannot rely upon monetary policy alone.

In such circumstances the evolution of a functional conception of public finance is of primordial importance, relating the budget and other expenditures and receipts, not only to the current needs of the state and

1. See 1964, Economic Survey by the OECD "Japan", para. 98.

longer-term social requirements, but also to the problems of demand management — the need to maintain full employment of productive resources whilst keeping prices and costs as stable as possible and ensuring external equilibrium. This, as in all OECD countries, requires a greater flexibility in budgetary decisions, which raises the essential question of how this can be ensured within the framework of parliamentary responsibility for taxation and government spending.

But a more active contra-cyclical budgetary policy is not, by itself, enough. Its proper use will require more timely and frequent economic diagnosis and prognosis. There is a great wealth of economic statistics in Japan, the exploitation of which for purposes of short-term economic analysis could be intensified; and greater attention to certain leading economic indicators may prove useful. More important, short-term economic forecasting ought to be undertaken on a continuous basis, instead of once a year.

Up to now, an overwhelming consideration in Japanese anti-cyclical policies has been the balance of payments, both because of its intrinsic fragility and because internal expansion seemed to be taking care of itself. Both these features seem now to be changing. If the foregoing analysis is correct, maintaining a satisfactory rate of growth will require more active anti-cyclical policies. And very probably, the improvement in the balance of payments over the last two years contains a durable element. It would, of course, be foolish to deny that the present very high trade surplus is linked with the recession of internal demand and booming markets abroad, and to ignore the persistent increase of the deficit on current invisible account. Also, there has emerged recently a deficit on long-term capital account, which is likely to continue for some time. Therefore, the medium-term prospects of the balance of payments may prove less favourable than recent trends would suggest. But the balance of payments situation is certainly not going to be an obstacle to expansionary policies in the near future. As for the preservation of a satisfactory durable trend in external transactions, this will depend not on contra-cyclical measures, but on longer-term policies favouring a smooth and balanced development of the economy as a whole.

STATISTICAL ANNEX

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Table I. NATIONAL PRODUCT AND EXPENDITURE

Billion yen.

	PERSONAL CONSUMPTION EXPENDITURES	GROSS PRIVATE DOMESTIC INVESTMENT	OF WHICH			NET EXPORTS OF GOODS AND SERVICES	GOVERNMENT PURCHASES OF GOODS AND SERVICES	OF WHICH		GROSS NATIONAL PRODUCT
			PRODUCERS' DURABLE EQUIPMENT	PRIVATE HOUSING	NET CHANGES IN BUSINESS INVENTORIES			CURRENT EXPENDITURES	CAPITAL EXPENDITURES	
	1	2	3	4	5	6	7	8	9	10
At 1960 prices, fiscal years[1] :										
1953	4,861.1	1,440.0	1,036.1		403.9	82.8	1,553.0	848.5	704.5	7,936.9
1954	5,072.1	1,283.7	1,014.4		269.3	241.8	1,569.6	904.5	665.1	8,167.2
1955	5,498.7	1,540.4	1,080.5		459.9	237.1	1,780.7	955.7	825.0	9,056.9
1956	5,836.2	2,308.6	1,639.5		669.1	24.4	1,675.8	991.3	684.5	9,845.0
1957	6,198.7	2,369.1	1,900.9		468.2	123.0	1,844.9	1,052.9	792.0	10,535.7
1958	6,544.9	1,983.7	1,965.8		17.9	290.3	2,071.1	1,115.8	955.3	10,890.0
1959	7,024.9	3,322.2	2,478.3		843.9	123.9	2,317.2	1,199.0	1,118.2	12,788.2
1960	7,626.2	4,260.3	3,401.2		859.1	31.7	2,666.5	1,329.3	1,337.2	14,584.7
1961	8,313.2	5,625.0	4,311.5		1,313.5	— 250.0	3,142.8	1,473.0	1,669.8	16.831.0
1962	9,007.7	4,758.2	3,766.1	410.0	582.1	99.8	3,824.5	1,625.8	2,198.7	17,690.2
1963	9,784.5	5,964.7	4,097.6	535.3	1,331.8	— 208.8	4,287.5	1,802.7	2,484.8	19,827.9
1964	10,565.9	6,392.9	4,806.1	612.4	974.4	171.7	4,862.6	1,993.7	2,868.9	21,993.1
Annual rates, seasonally adjusted, current prices:										
1961: 4th quarter	9,231.4	6,177.2	4,282.9	447.9	1,446.4	— 447.7	3,445.1	—	—	18,406.0
1962: 1st "	9,326.0	5,452.7	4,131.7	463.1	857.9	— 228.6	3,667.8	—	—	18,217.9
2nd "	9,932.8	5,550.8	4,167.5	511.1	872.2	44.0	3,913.4	—	—	19,441.0
3rd "	10,087.9	4,473.1	3,803.0	539.8	130.3	89.6	3,753.7	—	—	18,404.3
4th "	10,432.8	4,979.7	3,686.9	545.6	747.2	45.9	4,138.6	—	—	19,597.0
1963: 1st "	10,588.4	4,812.8	3,655.6	575.4	581.8	— 163.3	4,370.0	—	—	19,607.9
2nd "	11,383.2	5,521.9	3,896.4	704.9	920.6	— 124.5	4,503.9	—	—	21.284.5
3rd "	11,875.8	6,265.9	3,952.2	760.6	1,553.1	— 337.8	4,297.0	—	—	22,090.9
4th "	11,991.4	6,316.1	4,292.3	701.4	1,322.4	— 492.8	4,785.5	—	—	22,600.2
1964: 1st "	12,172.7	6,905.8	4,412.5	801.2	1,692.1	— 514.6	5,005.6	—	—	23,569.5
2nd "	12,861.2	6,471.7	4,648.6	886.4	936.7	— 121.3	5,319.2	—	—	24,530.8
3rd "	13,418.9	7,352.5	4,976.8	897.9	1,477.8	— 54.0	5,088.4	—	—	25,805.8
4th "	13,535.1	6,802.6	5,053.5	868.0	881.1	55.0	5,456.7	—	—	25,849.4
1965: 1st "	13,744.4	6,344.2	4,716.5	945.7	682.0	277.2	5,737.1	—	—	26,102.9

1. From April to March.

Source: Economic Planning Agency.

TABLE II. PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS (Seasonally adjusted)

	UNIT OR BASE	1962	1963	1964	1963		1964				1965		
					III	IV	I	II	III	IV	I	II	III
Indices of industrial production:	1960 = 100												
1. Mining and manufacturing		129.3	142.3	166.8	146.5	154.1	160.3	164.7	169.2	172.8	172.8	171.6	173.0
2. Manufacturing		130.1	143.7	169.1	147.9	156.0	162.5	167.1	171.5	175.5	175.4	174.4	176.0
3. Iron and steel		125.5	140.4	172.8	144.0	156.5	167.7	171.3	174.4	177.7	177.2	183.2	176.2
4. Machinery		145.0	159.5	194.0	163.8	174.0	184.3	193.0	195.7	202.3	201.1	192.9	195.6
5. Chemicals		130.0	152.7	178.9	155.0	167.7	171.7	172.1	181.6	190.2	195.4	194.2	205.5
6. Textiles		113.5	122.5	136.9	125.4	128.6	132.3	134.8	139.4	141.0	144.6	145.8	149.1
7. Investment goods		143.6	157.3	198.9	161.8	171.6	185.1	198.1	200.1	211.9	211.0	206.2	206.8
8. Construction materials		121.1	132.8	154.8	142.5	142.9	148.4	153.1	159.7	158.0	159.6	156.9	154.4
9. Durable consumer goods		143.9	160.1	175.7	159.5	172.2	179.0	177.1	175.0	171.6	166.8	152.5	154.6
10. Non-durable consumer goods		121.5	129.1	138.1	130.4	137.6	136.5	134.8	139.3	142.7	143.4	144.1	147.1
11. Materials (other than for construction)		124.9	139.7	163.9	143.5	151.1	158.2	160.6	166.6	169.8	171.6	172.3	174.6
Index of producers' deliveries:													
12. Mining and manufacturing	1960 = 100	127.7	141.1	161.7	144.1	151.0	156.2	160.5	163.0	166.6	168.6	168.3	168.4
Index of inventories:	1960 = 100												
13. Producers' finished goods (mining and manufacturing)		161.1	170.0	194.1	169.5	176.5	182.7	189.4	196.3	208.9	218.5	219.5	222.4
14. Dealers' inventories (mining and manufacturing)		143.4	157.7	176.4	157.9	157.8	165.8	170.8	176.6	192.7	192.7	186.6	
New orders for machinery:													
15. Private domestic orders (excluding ships)	billion yen, monthly averages	52.1	57.7	66.3	59.7	68.5	67.8	68.8	65.4	64.0	61.9	57.3	57.5
16. Total (excluding ships)	do	71.4	88.0	104.8	88.4	97.4	102.4	98.9	107.9	110.3	103.9	90.1	107.4
17. Outstanding orders for machinery (excluding ships)	billion yen	814.4	860.7	957.1	815.2	846.0	881.3	910.9	925.9	942.5	944.1	917.6	912.8
18. Cost of construction starts (non-residential)	billion yen monthly averages	66.8	73.4	181.0	78.2	87.4	128.5	113.6	92.6	102.1	115.1	79.9	
19. Index of retail sales	1960 = 100	140.0	162.8	181.0	165.2	171.5	172.4	177.1	186.5	186.7	189.3	193.8	
20. Consumption expenditure level (real terms, urban)	1960 = 100	112.7	118.3	125.0	119.4	120.5	124.4	126.3	125.8	123.5	125.4	125.6	
21. Employment index (manufacturing)	1960 = 100	120.5	125.0	129.3	125.8	127.0	128.3	128.9	129.7	130.5	130.7	130.0	129.5
22. Monthly hours worked (manufacturing, regular workers)	1960 = 100	95.9	95.1	94.8	95.2	95.5	95.6	94.6	94.1	94.9	93.9	92.0	
23. Number of unemployed	thousands	400	400	370	378	374	387	358	359	348	358	405	
24. Employment offers (new vacancies)	thousands	632	597	393	1,027	549	499	421	412	290	400	321	

Sources: Ministry of International Trade and Industry, Economic Planning Agency, Ministry of Construction, Statistics Bureau (Prime Minister's Office), and Ministry of Labor.

NOTE. Seasonal adjustments were made by MITI for 1-14, by EPA for 15-17, by The Bank of Japan for 18-20, by MOL for 21 and by OECD for 22-24.

Table III. PRICES AND WAGES

	Unit or base	1962	1963	1964	1963		1964				1965		
					III	IV	I	II	III	IV	I	II	III
1. Index of monthly earnings (manufacturing, seasonally adjusted)	1960 = 100	122.1	134.7	149.3	135.9	139.3	142.8	146.6	151.7	153.9	159.7	159.9	165.8
Indices of consumer prices (all cities):	1960 = 100												
2. Total		112.5	121.0	125.6	122.2	122.3	122.4	125.1	126.1	128.8	131.4	136.0	136.2
3. Non-food		111.0	117.9	123.7	118.6	120.7	121.2	123.5	124.1	126.1	127.0	128.9	130.4
4. Food (including Tobacco)		114.1	124.5	127.7	126.3	124.0	123.9	126.9	128.4	131.8	136.3	144.7	143.2
Indices of wholesale prices:	1960 = 100												
5. Total		99.3	101.1	101.3	101.3	102.0	101.7	101.0	101.1	101.4	102.0	101.7	101.9
6. Investment goods		99.4	98.4	97.5	98.5	97.9	97.7	97.6	97.4	97.4	97.4	97.4	97.3
7. Consumer goods		101.2	105.2	105.2	105.6	106.6	105.6	104.8	104.9	105.4	108.2	108.6	109.3
8. Materials and fuels		98.9	100.2	100.5	100.3	101.2	101.0	100.1	100.3	100.6	100.5	98.9	98.9

Sources: Ministry of Labour, Statistics Bureau (Prime Minister's Office), and The Bank of Japan.

TABLE IV. PUBLIC FINANCE, MONEY AND CREDIT

	UNIT OR BASE	1962	1963	1964	1963		1964				1965		
					III	IV	I	II	III	IV	I	II	III
Treasury account with public:	billion yen												
1. Receipts (General Account)		2,345.4	2,618.4	2,939.1	673.2	642.7	742.8	729.4	777.0	689.9	831.8	811.5	817.1
2. *of which:* taxes		2,117.3	2,377.7	2,721.9	612.9	606.0	693.5	639.8	720.6	668.0	739.6	717.9	754.8
3. Expenditures (General Account)		1,796.2	2,118.3	2,542.9	428.6	631.0	624.2	755.7	474.4	688.6	468.8	820.3	541.9
4. Balance (General Account)		548.8	500.0	596.2	244.5	11.7	318.6	—26.3	302.6	1.3	365.0	—8.8	275.2
5. Balance (Special Account and others)		—588.3	—565.3	—1,123.1	—8.5	—557.4	140.3	—275.4	—181.6	—806.4	164.0	—169.7	159.6
6. Balance (Foreign Exchange Account)		—91.8	—73.0	31 8	—4.0	17.2	19.2	60.6	3.5	—51.5	—18.1	31.4	8.1
7. Total Balance		—125.8	—136.4	—453.6	230.2	—523.8	473.5	—248.7	114.2	—792.6	519.7	—187.2	119.4
8. Money supply, changes	billion yen	832.9	2,024.5	1,010.1	206.4	1,043.6	—310.8	—9.6	228.8	1,101.7	—217.2	136.1	342.2
9. *of which:* cash currency	" "	179.9	219.9	256.4	117.8	447.9	—289.7	140.8	—64.3	469.6	—310.7	137.9	—71.6
10. *of which:* deposit currency	" "	653.0	1,804.6	753.7	324.2	595.7	—21.1	—150.4	293.1	632.1	93.5	—1.8	413.8
11. Balance of the accounts of financial institutions	" "	701.1	1,874.9	525.7	433.4	510.2	166.2	—260.0	327.4	292.1	304.7	—53.9	457.9
12. *of which:* change in loans	" "	2,648.1	4,305.3	3,176.2	1,159.2	1,295.7	642.3	495.2	963.6	1,075.1	673.9	476.9	
13. *of which:* change in time deposits	" "	—1,906.9	—2,398.3	—2,183.2	—743.3	—576.6	—549.1	—548.2	—653.1	—432.8	—490.3	—553.5	
14. Bank of Japan credit	" "	100.1	287.2	—95.9	220.4	18.0	203.3	—75.7	106.1	—329.6	217.5	—124.0	89.8
15. *of which:* lendings	" "	0.6	—129.5	—45.3	91.3	—81.2	36.7	121.0	97.5	—300.5	216.5	—14.4	133.1
16. *of which:* sales and purchase of securities	" "	99.5	416.7	—50.6	129.1	99.2	166.6	—196.7	8.6	—29.1	1.0	—109.6	—13.3
17. Call rate (unconditional, Tokyo)	end of period, %	9.49	8.03	10.95	7.30	8.03	8.76	10.59	11.32	10.95	8.40	6.94	6.21
18. Share prices (Tokyo)	1960 = 100	127	129	113	126	116	114	114	116	109	110	101	103
19. Average lending rate of all banks	%	8.21	7.79	7.90	7.70	7.68	7.69	7.92	7.99	7.99	7.96	7.88	7.73

Sources: Ministry of Finance, The Bank of Japan, The Tokyo Stock Exchange.

TABLE V. FOREIGN TRADE AND PAYMENTS

	UNIT OR BASE	1962	1963	1964	1963		1964				1965		
					III	IV	I	II	III	IV	I	II	III
Customs statistics:	$ million												
1. Exports (seasonally adjusted)		4,916	5,452	6,673	1,407	1,451	1,454	1,601	1,714	1,853	2,037	2,134	2,214
2. Imports (seasonally adjusted)		5,637	6,736	7,938	1,727	1,928	1,993	1,965	1,895	2,090	1,977	2,067	2,026
3. Trade balance (seasonally adjusted)		—721	—1,284	—1,265	—320	—477	—539	—364	—181	—237	60	67	188
Balance of Payments:	$ million												
4. Exports		4,849.9	5,389.8	6,693.0	1,413.4	1,589.9	1,313.9	1,571.1	1,736.2	2,071.8	1,811.7	2,068.6	
5. Imports		4,458.7	5,556.7	6,327.7	1,407.9	1,543.9	1,621.0	1,636.2	1,489.7	1,576.5	1,617.3	1,658.2	
6. Trade balance		391.2	—166.9	365.3	5.5	46.0	—307.1	—65.1	246.5	495.3	194.4	410.4	
7. Goods and services, balance		—18.3	—733.5	—408.1	—142.7	—119.0	—517.1	—258.1	65.7	310.8	—27.0	183.6	
8. Private long-term capital, balance		147.6	507.3	142.7	98.2	77.9	95.1	29.8	55.4	—46.0	25.2	—85.3	
9. Private short-term capital, balance		107.7	106.9	232.6	30.7	39.5	171.2	—13.6	16.5	59.1	—8.9	23.0	
10. Capital and monetary gold, balance		43.0	734.7	469.5	120.7	170.9	501.9	310.6	—123.0	—227.8	15.3	—140.1	
11. Official gold and foreign exchange reserves[1]	$ million, at the end of periods	1,841	1,878	1,999	1,906	1,878	1,996	1,937	1,939	1,999	2,053	1,980	1,969
12. Net short-term assets of authorized foreign exchange banks				—733				—1,022	—843	—733	—794	—667	
Volume indices:	1960 = 100												
13. Exports		127.9	143.5	177.8	148.0	169.5	138.7	166.7	182.3	219.7	196.2	227.5	
14. Imports		129.0	152.4	175.3	153.6	166.3	174.1	180.8	165.6	179.4	170.6	188.1	
Price indices:	1960 = 100												
15. Exports		96.5	98.8	100.2	98.9	99.5	100.1	100.5	100.3	99.8	99.9	99.6	99.4
16. Imports		98.1	100.9	102.5	100.9	103.6	104.2	102.7	101.3	101.6	99.8	100.0	99.6

1. Beginning with the end of March 1964, figures include IMF gold tranche position.

Sources: Ministry of Finance, The Bank of Japan.

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